Why so lengthy HDT? Ans. To help u in Plan-B like StatePCS Jobs like Commercial Tax Inspector, Asst. Commissioner, Accounts officer where more GST-GK is asked. (2) GST 2.0 reform ↑ pages

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22 BUDGET→ REVENUE PART→ RECEIPTS→ TAX →INDIRECT TAXES

बजट→ राजस्व भाग→ प्राप्तियां→ कर→ अप्रत्यक्ष कर

- Indirect taxes fall under the Ambit of FinMin→ Department of Revenue (राजस्व विभाग)→ Central Board of Excise and Customs (CBEC): (केंद्रीय उत्पाद एवं सीमा शुल्क बोर्ड) → Budget-2018 renamed it as Central Board of Indirect Taxes and Customs (CBIC): (केंद्रीय अप्रत्यक्ष कर और सीमा शुल्क बोर्ड)

22.1 INDIRECT TAXES: TYPES (अप्रत्यक्ष करों के प्रकार)

Ad- Valorem tax (*यथामूल्य कर*)	**Specific Tax per unit** (*विशिष्ट कर प्रति यूनिट*)
Taxes based on the value of something. E.g. 35% Customs Duty on import of orange juice. So, if juice priced at ₹1000 imported, then ₹350 as tax.	Tax based on quantity of items. E.g. ₹ 260 Excise duty on production of every 1000 cigarettes of 65-70mm length. Here we're taxing them irrespective of their manufacturing price or selling price.
Easier to administer. [इसे क्रियान्वित करना ज़्यादा आसान है]	Difficult to administer, leads to inspector-raj & litigation. But, if slight increase in this tax, then greater burden passed on to the consumer so it helps reducing harmful consumption. ~~(How exactly? Ans. microeconomics graph is not imp)~~

22.1.1 Burden of Indirect tax – forward vs backward shifting

Suppose govt increases the GST on ice cream from 18% to 28% → then two things can happen:

- **A) Forward shifting:** Vadilal increases the prices of the ice cream to keep his profit margin same.
- **B) Backward shifting:** Vadilal does not change the price of ice cream (to prevent buyers from shifting to other products), but Vadilal will reduce the salaries paid to workers to keep his profit margin same.

This usually depends on supply vs demand of a commodity. e.g. in case of essential medicines, forward shifting is more likely to happen.

MCQ. Consider the following statements: (CAPF-2024)

1. Burden of a tax on a commodity is independent of who (buyer or seller) it is explicitly imposed upon.
2. Burden of a tax on a commodity depends on the slope of the demand and supply curves

Codes: (a) 1 only (b) 2 only **(c) Both 1 and 2** (d) Neither 1 nor 2 [Correct Ans : C]

22.2 INDIRECT TAXES: MERITS AND DEMERITS (लाभ व् नुकसान)

Merits लाभ	**Demerits नुकसान**
➔ **Convenient (सुगम)** to collect because the traders act as honorary (=unpaid) tax collectors. Wider base because everyone	➔ Regressive (प्रतिगामी) in nature, both poor and rich taxed equally for the same item then poor people end up paying more portion of

😀 Merits लाभ	😥 Demerits नुकसान
covered e.g. 18% GST on Biscuit. ➔ **Elastic** (लचीला): small ⬆ brings large revenue, because everyone is affected. Although they're "relatively" less elastic than Direct taxes. ~~(Poor cost benefit interpreting its Microeconomics graph)~~ ➔ 🚭 Can ⬇ **harmful consumption** by imposing higher taxes on cigar, alcohol, soft drinks & fast food. (हानिकारक पदार्थों का उपभोग कम करवा सकते हैं)	their income in indirect taxes. ➔ This tax is hidden in the price. Customers do not always feel the pinch of paying indirect tax so it promotes **less civic consciousness** than direct taxes.[नागरिक चेतना नहीं जगाता] ➔ Indirect taxes ⬆ → product becomes expensive → demand ⬇ so uncertainty involved in how much ₹ ₹ will Govt actually earn?[वास्तव में कितनी आमदनी होगी निश्चितता नहीं] ➔ High level of **corruption**, evasion, **cascading effect** if input credit is not given e.g. erstwhile sales tax system.[भ्रष्टाचार, कर चोरी के अवसर]

22.3 🍋🛒🥂🚭 (Concept) Pigouvian Tax (पिगोवियन कर)

- An externality (बाह्यता) is a positive or negative consequence of an economic activity experienced by unrelated third parties. E.g. Cement company (related parties: labourers & consumers benefit); whereas unrelated third parties (local community, flora and fauna) are harmed by cement company's air-pollution. [ग़ैरसंबंधित तीसरे पक्ष पर सकारात्मक या नकारात्मक असर]
- **English economist Arthur C. Pigou** proposed **taxing** the companies that create such **negative externalities**: e.g. polluting industries, cigarettes (passive smoking), alcohol (social disharmony).
- We **HAVE** high level of indirect taxes on petroleum, tobacco and alcoholic products.
- We **HAD** "Clean environment cess" on Rs 400 per tonne of coal (but abolished in GST)
- **Sin tax?** Similar concept- imposing tax on immoral things like alcohol, tobacco. Difference between Sin Tax vs Pigouvian tax = that pedantism/hairsplittery NOT IMP

22.3.1 🍋🛒🤦♀Cess and Surcharges on Excise & Customs

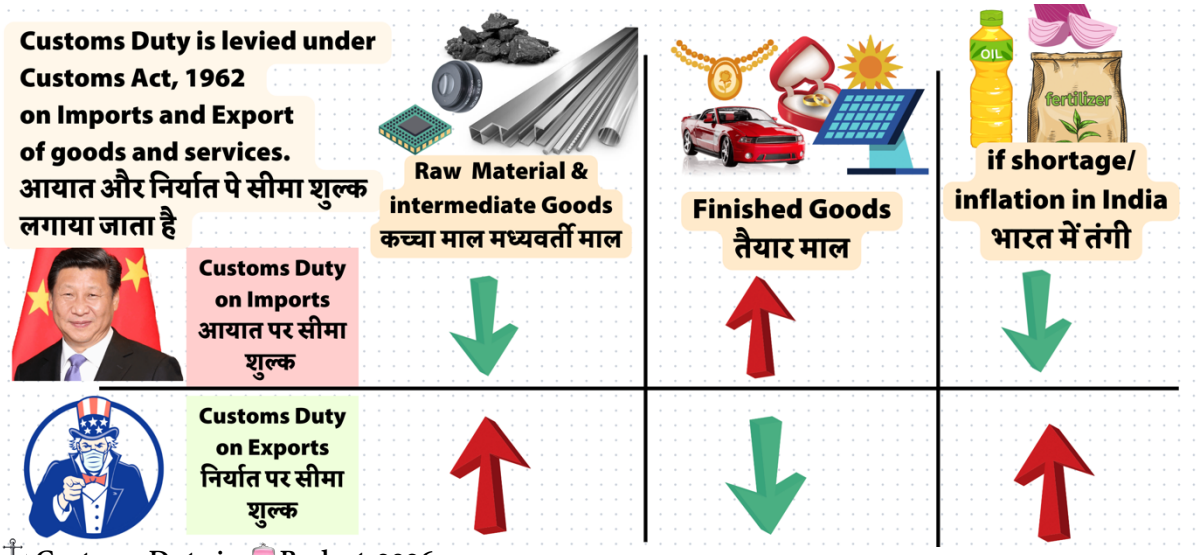
Cess / Surcharge	Description
Social Welfare Surcharge (SWS) On Customs (समाज कल्याण अधिभार)	⇒ 💼Budget-2018 introduced 10% SWS on Customs Duty on imported goods. ⇒ 💼Budget-2021- SWS will no longer be applicable on the gold and silver. (Because additional burden of Agriculture Infrastructure and Development Cess (AIDC) on gold-silver. So, if SWF also levied = too much tax burden on people= Which may encourage more smuggling and black money, so govt exempted these goods from SWS)
Health Cess On Customs (स्वास्थ्य उपकर)	⇒ 💼Budget-2020 Introduced **5% Health Cess** on the (customs duty +Surcharge) on imported medical devices (आयातित चिकित्सा उपकरण). ⇒ This Cess ₹₹ will be used for building (Ayushman Bharat scheme ke) hospitals (to treat PM-JAY ₹5lakh health insurance-wale poor patients) in Aspirational Districts (आकांशी-जिले=backward districts identified by

Cess / Surcharge	Description
	NITI Aayog.)
Agriculture Infrastructure and Development Cess On Customs And Excise	⇒ 💼Budget-2021 introduced this (कृषि अवसंरचना और विकास उपकर) ⇒ This cess will be applicable on the **Excise duty** on petrol (cess@₹2.5/litre) and diesel (cess@₹4/litre) ⇒ This cess will be applicable on **Customs Duty** on Gold silver, alcoholic beverages, certain types of edible oils, certain fruits, certain Pulses, Cotton, Urea/fertilizer. (Cess varies from 1.5-100% depending on item)

22.3.2 👛Budget-2025 – rationalising cess-surcharges on Customs Duty

Before	After Budget-2025
customs duty pe multiple cess and surcharge on single item. e.g. imported medical device = customs duty + Social welfare surcharge + health cess.	Apply not more than one cess or surcharge. (Probably in reaction to US President Donald Trump's anger over India being an 'import tariff abuser,' i.e. India puts too many taxes on imported items.)

22.3.3 Customs Duty in 👛Budget – normal patterns



⚓ Customs Duty in 👛Budget-2026

- Reduced the custom duty on import of machinery/chemicals for Lithium-Ion Cells for batteries, solar panels, nuclear plants, etc. 0% on import of some cancer drugs.
- imported items for personal use, e.g. perfume, fashion etc. customs cut from 20% to 10%.

22.3.4 🥇💼✈️ Customs Duty-Free Gold Baggage Allowance

Suppose tourist coming from abroad to India, how much gold can she/he bring without paying customs duty?

Passenger Category	Jewellery Weight Limit	Max Value Limit (₹)	Customs Duty?
Male	Up to 20 grams	₹50,000	No duty
Female	Up to 40 grams	₹1,00,000	No duty

- if you are carrying more gold than above limits → have to pay 3%-10% customs duty, depending on the weight.

- 😭 Sometimes, NRIs returning to India for weddings and social events may bring more gold jewelry to wear, leading to custom officials harassing them for bribes at the airport.
- 2025: Delhi High Court ordered the Central Board of Indirect Taxes and Customs (CBIC) to relook/increase the gold-baggage limit.

22.3.5 👑🍋⬆️ Gold Silver pe tax & cess hiked to reduce imports (2026-May)

Tax on Gold and Silver	Before	2026-May
Basic Customs Duty	5%	10%
Agriculture Infrastructure and Development Cess	1%	5%
Integrated GST (iGST)	3%	Same
Total	~9.2%	~18.4%

Critics allege this will increase smuggling to evade taxes.

22.3.6 🍋🛒⛽Indirect Tax → ⛽Petrol & Diesel price high because

	⛽🚗 PETROL (Approx taxes in middle of 2021)	⛽🚚 DIESEL
A) 👨Union Tax	Basic excise ₹1.40 + Special additional excise ₹11 + ₹18 Road Infrastructure cess +₹2.50 Agriculture infrastructure and development cess (AIDC)	Basic excise ₹1.80 + Special additional excise ₹18 + ₹18 Road Infra cess +₹4 AIDC
B) 👨🍋 State Tax	State VAT ₹20 per litre.	State VAT ₹15 per litre.
Total in India =A+B	135% taxes on base price	116% taxes on base price
elsewhere	Taxes on fuel: EU (45-60%), Canada 15-30%, USA (15%)	

⇒ If above fuels are replaced with highest GST slab (28%) → hardly ₹5-6 per litre each for Union and State = Loss of over 4 lakh cr on petrol and diesel taxes in GST system compared to present (Excise VAT) regime.

⇒ So, cheap petrol-diesel is not possible, unless Union and State govts are willing to take deep cuts in their revenue. Corona= direct tax collection ↓ . So govt not eager to reduce tax% on fuel.

22.3.7 Sp. and addl. Excise duty not shared with states by the Union

Tax on petroleum profits	Can finance commission share this with states?
1. Basic Excise Duty	Yes
2. Additional Excise Duty	No
3. Special Additional Excise Duty	No

MCQ. Which of the following components of Central Government taxes on petroleum products is/are not shareable with the States? (CDS-2024–1)

1.Basic Excise Duty 2. Additional Excise Duty 3. Special Additional Excise Duty

Codes: (a) 1 and 2 only (b) 1, 2 and 3 (c) 3 only (d) 2 and 3 only

22.3.8 Indirect Tax → additional differential excise duty on Unblended Petrol

Govt wants 20% ethanol blending with petrol by 2025 to ↓ GHG emission. Budget-2022 announced one MORE TAX to force the oil refineries to accomplish this target in a timely fashion:

Fuel	Ethanol Blended Petrol	Unblended petrol
Basic excise + Special additional excise + Road Infrastructure cess + Agriculture infrastructure and development cess (AIDC) →	Yes these tax and cess applicable on both type of fuel.	
Additional Differential Excise Duty → Announced in Budget-2022	Rs.₹0/ litre	Rs. 2/litre

इथेनॉल मिश्रित पेट्रोल पर अतिरिक्त विभेदक उत्पाद शुल्क नहीं, जबकि इथेनॉल-अ-मिश्रित-पेट्रोल पर ₹2 प्रति लीटर

22.3.9 0% Excise duty on E22 to 30% walle Petrols (2026-Jun)

- Union has exempted excise duty on petrol blends containing 22%, 25%, 27%, and 30% ethanol
- **Objective?** (i) To encourage adoption of higher ethanol blends beyond the current E20. (ii) to reduce crude oil imports, boost domestic biofuel use, and increase energy security amid global supply uncertainties.

22.3.10 Windfall Tax on export of petrol/diesel/ATF fuel (2022)

⇒ Windfall Tax is a nickname given to a tax when it is levied on an unforeseen / unexpectedly large profit (अप्रत्याशित मुनाफ़े की स्थिति में यदि कोई टैक्स लगाया जाए तो उसे विंडफ़ोल टैक्स की संज्ञा दी जाती.)

⇒ 2022: Fuel prices increased sharply in global market. So when Indian refineries export petrol/diesel → They will make a lot more profit compared to previous years. (विश्व बाज़ार में ईंधन के बढ़ी क़ीमतों के चलते भारत के ईंधन निर्यातकर्ताओं को अप्रत्याशित मुनाफ़ा हो रहा था)

⇒ And also if Indian refiners export more quantity to foreign nations, then it will reduce supply of fuel for local Indians = more inflation in fuel.

⇒ 2022-Jul: government imposed Special Additional Excise Duty (SAED) on export of Petrol (₹6/litre) and Diesel (₹12/ litre) and Aviation Turbine Fuel (₹6/litre).

⇒ Newspapers nicknamed this as "windfall tax".

⇒ 2022-Aug onwards: now Indian government keeps changing. Then ball by ball cricket commentary notIMP

FAQ: can windfall tax be imposed only on indirect taxes / petrol diesel?

Ans. If government is imposing any direct or indirect tax because of some unforeseen profits to a party, then journalist may label as Windfall Tax.

FAQ: then can't we say bitcoin profit pe Capital Gains Tax is also windfall tax?

Ans. Journalists/Newspaper/Govt/Chief Economic Advisor/NITI etc have not used this word yet. So I would not use it.

22.3.11 : GST on Petrol Diesel Electricity: NITI Aayog 6 year roadmap

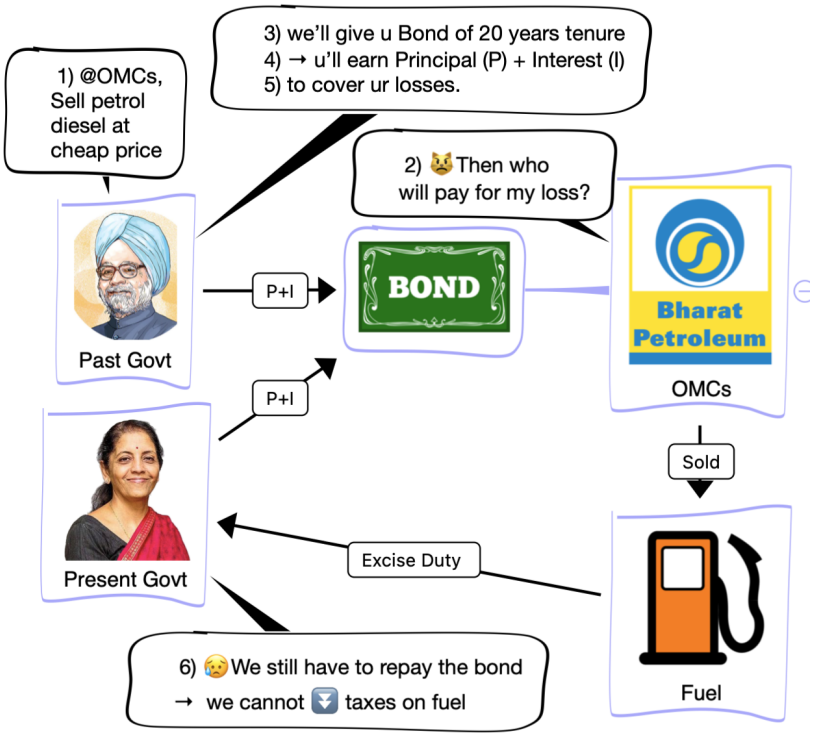
2021-Aug: NITI Aayog proposed following formula:

- ⇒ 28% GST on petrol and Diesel. + Compensation Cess for States (this compensation will be given to states for a period of six years)
- ⇒ 18% GST on Electricity.

However this is a proposal stage. Separately a case is going on at Kerala High Court. We'll update when/if something big happens. (अभी यह सब प्रस्तावित है.असल में लागू होना बाकी है. जब कुछ बड़ा होगा, तो देखेंगे)

> Related topic: OPEC Cartel, crude prices? Ans. (Ref: HDT-Pillar#3A: BoP)

22.3.12 Petrol-Diesel: Dynamic Fuel Pricing System & oil bond repayment



- ⇒ 1970s to 2002: Administered Price Mechanism (APM: प्रशासित/नियंत्रित मूल्य तंत्र): Wherein the government fixed the prices of petroleum fuels and paid subsidy to the oil marketing companies (OMC: तेल विपणन कंपनियां) for their losses by issuing Oil Bonds to them.
- ⇒ 2002-2014: Govt gradually began decontrolling fuel prices- to reduce its own subsidy burden.
- ⇒ Present system= Dynamic Fuel Pricing System (ईंधन की गतिशील रूप से बदलने वाली मूल्य प्रणाली): wherein OMCs decide the prices of petrol and diesel on DAILY basis, based on the movement in international prices. Associated keyword/formula/methodology is **"Trade parity price (TPP)".**

  What is means, how it works? = Poor cost benefit chasing that.
- ⇒ **Benefit of dynamic pricing?** In theory, If the oil prices lowered in the international market, petrol diesel should become cheaper in India. विश्व बाजार में दाम गिरने पर इंजन के दाम भारत में भी कम होने

चाहिए. But, Union and State govt keep ⏫⏫ taxes on it so it remains expensive for common people.

- 2021-Aug: FM Sitharaman says we cannot reduce excise duty on petrol and diesel, because we have to repay principal + interest on the oil bonds issued by the previous UPA-II government to subsidise fuel prices in 2012-13.(मोदी सरकार ने कहा पेट्रोल डीज़ल पे उत्पाद शुल्क नहीं काट सकते क्योंकि कांग्रेस सरकार ने जो पेट्रोल डीज़ल पर सब्सिडी देने के लिए ऑयल मार्केटिंग कंपनियों को ओईल-बॉण्ड जारी किए थे उसका बकाया पैसा चुकाना है)

FAQ: if past Congress govts issued 10-20 year bond then they'd be repaid by now. And or if tenure is 20 years then lot of time available before repayment deadline comes. So why isn't BJP govt reducing taxes? And/OR I've X counter arguments. Ans. NotIMP4Exam. My job was to give explain the terms for exam. I'm done with it. थोड़ा-पढ़ो-आगे-बढ़ो.

22.4 Misc. Issues related to Indirect Taxes

22.5 Mining Taxes- Union vs States (खनिज कर)

MMDR (Mines & Minerals Development & Regulation) Act 1957 divides minerals into two buckets:

Type	Examples	Who regulates
Major minerals (प्रमुख खनिज)	Coal, iron ore, bauxite, manganese, copper	Centre
Minor minerals	Sand, gravel, clay, building stone	States

- SC ruled that Mineral Royalty is not a tax. Royalty is a contractual consideration paid by the mining company to the government (or land owner), for enjoyment of mineral rights,
- State government could levy tax on mines and mineral rights from April 1, 2005 onwards.

State List	Description
Entry 49	State can impose Taxes on lands and buildings.
Entry 50	Union Parliament can make laws to impose limitations on taxes on mining. So, Union had enacted Mines and Minerals (Development and Regulation) Act (MMDRA), 1957.

"But entry 50 does not restrict state's tax powers under entry 49." - ruled SC.

22.5.1 Mining Taxes: Chronology of Events (घटनाक्रम)

Date/Period	Event
Before-2024	States charged sGST on mining. States charged royalty If mining took place on

	public land.
2024	SC allows states to tax mineral-bearing land. Also allows states to recover₹2 lakh crore from 2005 in retrospective/backdated manner. (राज्य पुरानी तारीख़ से कर वसूल सकते)
2024–25	States act on the SC ruling — Tamil Nadu imposes additional Mineral-Bearing Land (MBL) tax (₹160/tonne on limestone); similar in Jharkhand, Karnataka etc. + States also charging variety of environmental cess, pollution cess, etc
2026 Amendment to MMDR Act	Union introduces MMDR Amendment Bill to stop state charging such taxes/cess on major minerals without Union's approval. Stops the retrospective demand of ₹2 lakh crore Minor minerals stay untouched — state powers intact there.

22.5.2 🪨 Mining Taxes pe new amendment - pros and cos

Centre's Justification	States' objection
Uniform mineral prices → controls inflation (otherwise price of limestone ↑ → cement ↑; iron ore ↑ → steel ↑) so such reform is justified.	Encroaches on states' constitutional taxation powers (upheld by SC in 2024)
Ease of doing biz for mining companies	States need money for running welfare schemes. Tamilnadu has ~11 lakh cr debt.

22.5.3 🗑️ ULB → Solid Waste Management (SWM) Cess

- Urban Local Bodies (ULBs) levy SWM cess as per Solid Waste Management Rules, 2016.
- While there is no specified rate, ULBs typically charge ₹30–50 per month as SWM cess.
- ULBs collect it along with property tax.

22.5.4 💁‍♀️ Himachal Water-cess on Hydel project is Unconstitutional

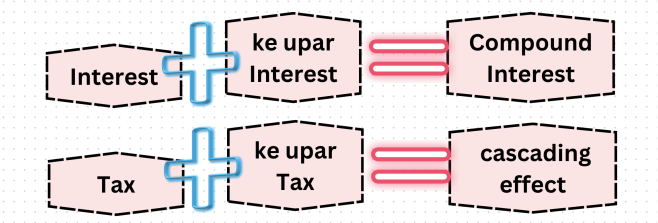
- 2023–24: The Himachal State government imposed a 10–50 paise per cubic meter "Water Cess" on companies producing hydroelectricity.
- The Union Government complained to the Himachal HC that the *"State government is already charging an electricity duty. The State cannot charge an extra tax on the process of electricity generation by calling it 'water cess'. Otherwise, it violates the taxation provisions of the Constitution."*
- 2024: The Himachal HC ruled that the Himachal water cess is ultra vires/unconstitutional.

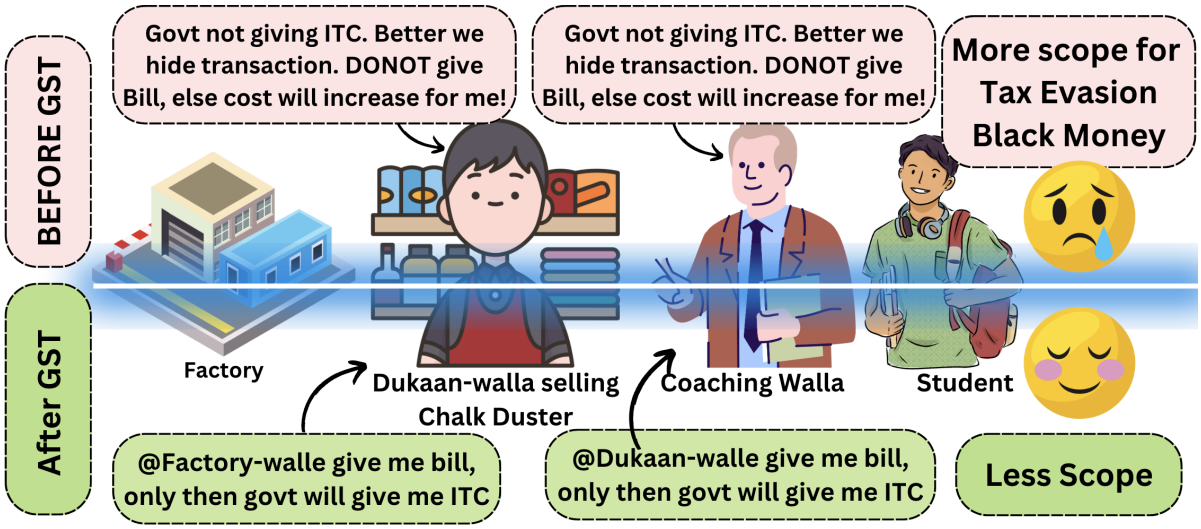
22.6 🍋🛒🏋️‍♀️↗️🏋️‍♀️ Cascading Effect of Indirect Taxes

⇒ If a government levies 10% indirect tax every time an item is sold, but doesn't provide input tax credit (ITC) to the businessman, for the taxes he paid in previous stage, then final-customer will have to **to pay tax on tax**.

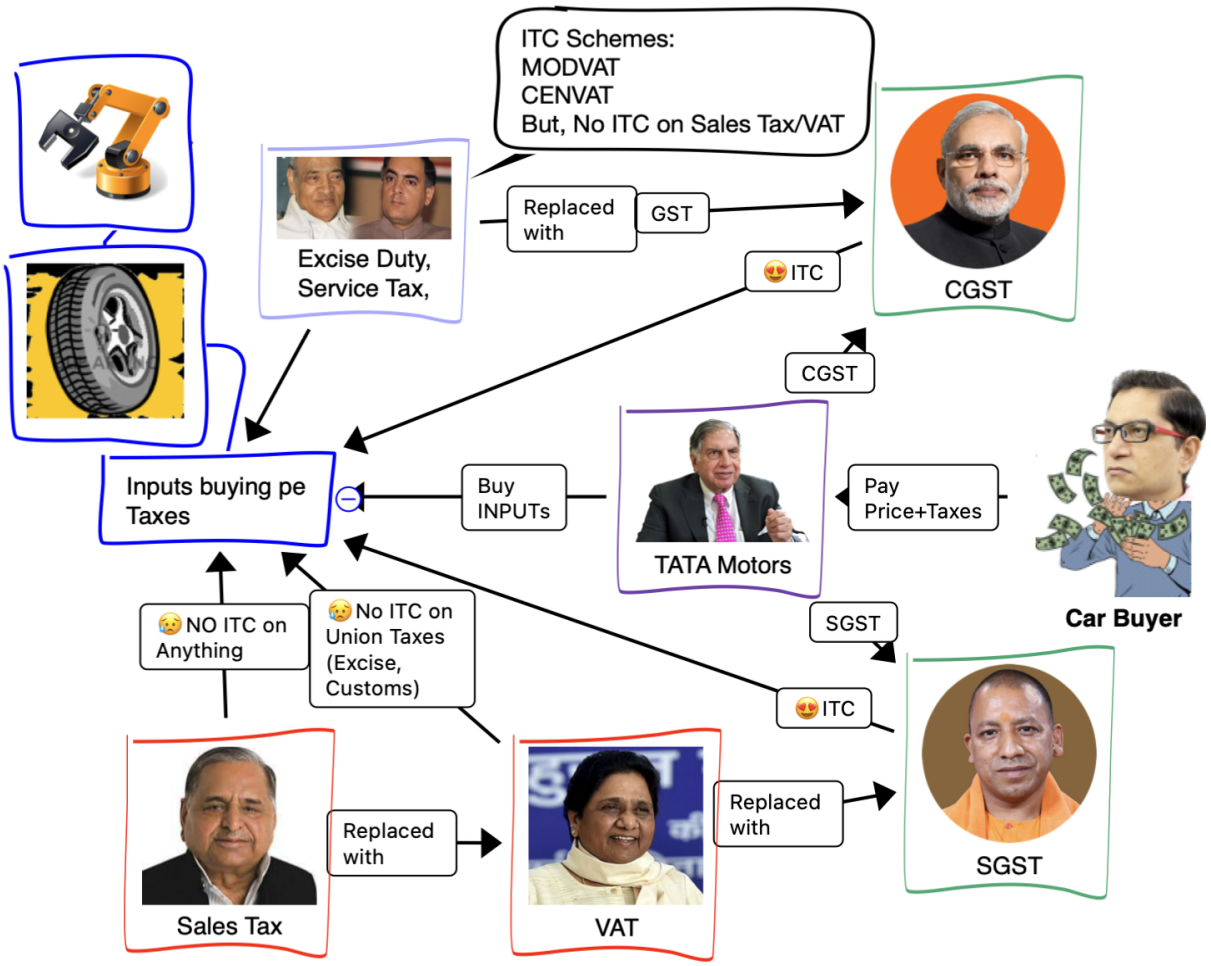
⇒ This 'cascading effect' of indirect taxes raises the price of final product. (अप्रत्यक्ष करों का सोपानी प्रभाव)

	ColumnA	ColumnB	ColumnC
Sr.	Item	Excise-Sales Tax system	GST
1	Coaching walla buys Chalk, Duster	1000	1000
2	Coaching walla pay 10% Tax to seller	100 as Excise & Sales Tax	Rs.100 as GST but, he'll get refund/ITC so effectively Rs.0
3	Coaching-walla wants Profit	400	400
4	Selling Price (Coaching Fees)	1000 + 100 + 400 = 1500	1000 + 0 + 400 = 1400
5	Coaching Fees pe 10% tax	1500*10% = 150	1400*10% = 140
6	Student has to pay (5+6)	1500 fees +150 tax = 1650	1400 fees + 140 tax = 1540
	Difference in final fees	1650 minus 1540 = 110	
	Reason for Difference	Cell B2 (100) was counted in cost price, uspe tax added in CellB5 -> so extra burden of Rs.110 = CASCADing EFFECT	





22.7 : Indirect Taxes: A Timeline of Reforms



Boss?	System	Provided ITC on Union's Taxes	Provided ITC on States' Taxes
Union	MODVAT (1986-2004)	Yes on excise paid by bizman	No
Union	CENVAT (2004-2017)	Yes on excise & services tax paid by bizman	No
State	VAT (2005-2017)	No	Yes on VAT paid by Bizman
Union & State combined (GST Council)	GST (2017)	Yes	Yes

MCQ-UPSC-CDS-2013-I. Which of the following are direct tax in India?

1. Corporation tax 2. Tax on income 3. Wealth tax 4. Customs duty 5. Excise duty

Ans. Codes: (a) 1, 2 and 3 (b) 1, 2, 4 and 5 (c) 2 and 3 (d) 1, 3, 4 and 5

22.8 Indirect Taxes → GST: Timeline (समयरेखा)

2004	**Vijay Kelkar** Task Force on Fiscal Responsibility and Budget Management (FRBM)

	recommends GST. [विजय केलकर समिति ने GST लागू करने की सिफ़ारिश की]
2006	In Budget speech, **P.Chidambaram** announces the launch of GST from 2010
2011	UPA government introduces 115th Amendment Bill 2011 to implement GST lapsed with the dissolution of 15th Lok Sabha. (लोकसभा विघटन चलते ये विधेयक पास नहीं हो पाया)
2014-16	Modi govt. introduces **122nd Constitutional Amendment Bill 2014** in **16th Lok Sabha**. Since GST aimed to change federal financial relations, so under **Art.368**, this constitutional bill required: - **@Union** Parliament Lok Sabha and Rajya Sabha each:_50% majority of the total membership, and 2/3rd majority of all members present and voting. - **@State** Vidhan Sabha: approval by majority of state assemblies (i.e. 15 Vidhan-sabhas of India at that time) Ultimately, it passed & became - 101st Constitutional Amendment Act, 2016 (संवैधानिक संशोधन अधिनियम/ क़ानून)

22.9 🍋🛒:📙🔨 GST: 101ST CONSTITUTIONAL AMENDMENT ACT, 2016

101 वां संवैधानिक संशोधन अधिनियम, 2016 amended following articles in our Constitution.

246-A	- States given power to tax goods and services. (previously, they couldn't tax services.) - But **only UNION** will have the power to tax inter-state supply of goods and services in the form of "**IGST**" (एक राज्य से दूसरे राज्य में वस्तु और सेवा की आपूर्ति पर केवल केंद्र सरकार टैक्स माँग सकता है जिसे IGST कहा जाएगा)
~~**268-A**~~	Previously, this article empowered Union to levy Service Tax. But, since tax on services has been brought under GST, this article was deleted. (सेवा कर को हटाया गया)
269-A	**IGST** (on inter-state trade) will be distributed between Union and states, as per the formula by the GST Council (जीएसटी परिषद)
270	**CGST** (=new indirect tax of Union, which replaced Excise Duty & Service Tax)..this CGST will be distributed between union and states as per the formula by the Finance Commission (वित्त आयोग सिफ़ारिशों के अनुसार CGST को केंद्र और राज्यों में बाँटा जाएगा)
279-A	President of India to appoint a constitutional body, "GST Council headed by Finance Minister. " (जीएसटी परिषद कि नियुक्ति राष्ट्रपति करेंगे, और वित् मंत्री इस परिषद का अध्यक्ष होगा)
366	🥂 Alcoholic liquor for human consumption (मदिरा) is kept out of GST. (i.e. State govt continue to levy State Excise on its production and State VAT on its sale.)

From 1st July, 2017: **Goods and Services Tax (GST:** वस्तु एवं सेवा कर) became effective. Here, supplier gets input tax credit for indirect taxes of Union & States (CGST,SGST) that he paid in the previous stage. [GST प्रणाली में पिछले चरण में चुकाए गए परोक्ष करों के ऊपर माफ़ी/टैक्स क्रेडिट मिलता है]

22.10🍋🛒: 👨👩🫱 🕉️ GST COUNCIL: COMPOSITION? जीएसटी परिषद

👨Union representatives (2 प्रतिनिधि)	🫱🕉️ States' representatives (31)
1. Finance Minister as the **Chairman** 2. Union Minister of State for	- Each state government (including UT with legislature: J&K, **Delhi & Puducherry**) can nominate 1minister to GST council- it may be their minister of finance or Dy.CM or

finance or revenue. (वित्त या राजस्व के केंद्रीय राज्य मंत्री)	any other minister as per their wish. - One of them will be selected as the **Vice-Chairman** of GST council.
Voting power: 1/3rd (एक तिहाई)	Voting power: 2/3rd

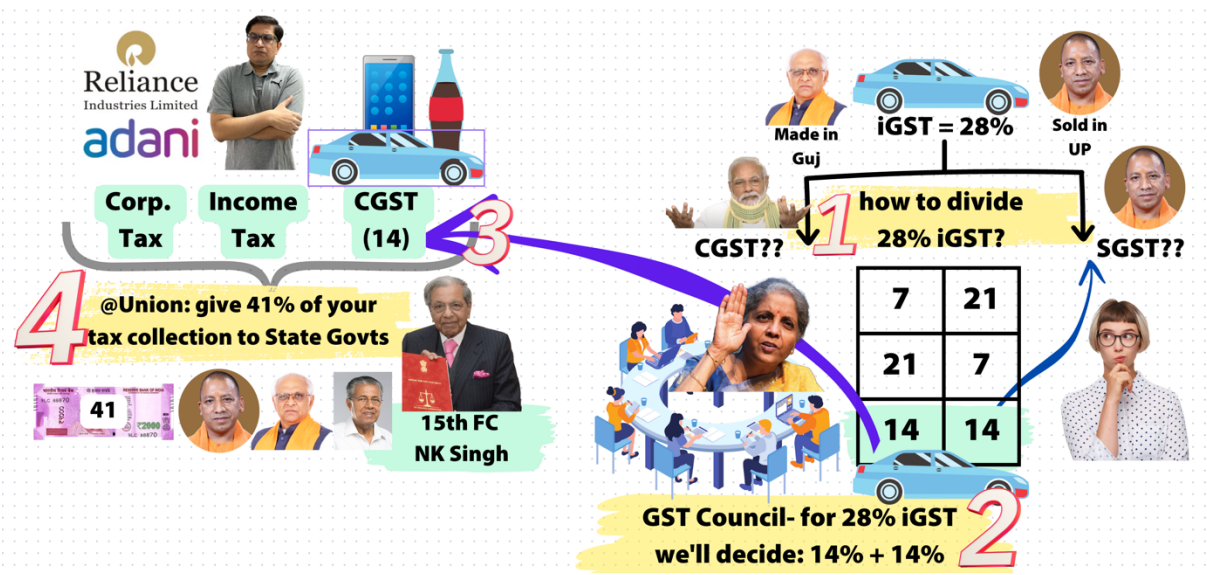
✓ If all members don't no unanimously agree over a proposal (यदि किसी प्रस्ताव पर सर्वसम्मति नहीं, तो वोटिंग होगा) ⟶ it'll be put for voting ⟶ then minimum 3/4th votes required to pass the proposal.

✓ Council Meetings to proceed only with **quorum of 50%** of total membership.(अनिवार्य न्यूनतम हाज़िरी)

22.10.1 GST Council: Functions? They'll decide following-

1. List of indirect taxes, cess, surcharge of the union and states to be subsumed under GST-regime. (पुराने करो को जीएसटी-व्यवस्था में सम्मिलित/ विलीन करना)
2. Decide the date from which Crude oil, Petrol, Diesel, Aviation Turbine Fuel and Natural Gas will be put under GST regime. (Until then excise-VAT on these five hydrocarbon fuel products, will be unilaterally decided by Union and individual States). [कौन सी तारीख़ से इन पाँच चीज़ों पर GST लगाना है]
3. Decide Standard rates (सामान्य दर) for GST (i.e. CGST, SGST and UTGST). IGST = {CGST + (SGST or UTGST depending on destination)}
4. Decide **Special rates (विशिष्ट दर) for GST**, during natural disaster / calamity if required.
    a. E.g. 2019-Jan, GST-Council also allowed **Kerala** to levy a **1% calamity cess (आपदा उपकर)** on intra-state trade for next two years, for the rehabilitation of 2018's flood-victims.
5. **Integrated GST (IGST)** system during interstate commerce, and its tax-sharing.

Update in below graphics: GST on small cars reduced from 28% to 18% (9+9) in 2025.



6. Norms related to **GST registration of businessmen**. If a goods selling Bizman has turnover above "x" lakhs, he must register @GSTN online portal, he must collect GST from consumers and deposit it there. Originally the "x" was ₹20 lakhs for ordinary states; ₹10 lakhs for Sp.cat states & Telengana. However, in 2019-Jan the GST council doubled this limit to ₹40l & ₹20l respectively. Within this, some technical relaxation given to merchants selling products on E-commerce website. ~~(Turnover limits for service seller bizmen in Manipur, Mizoram etc separate but~~

~~hairsplittery not REQ, not here for C.A. Exam).~~ [व्यापारी/उद्योगपति/आपूर्तिकर्ता के पंजीकरण के लिए नियम बनाएगा]

7. Protecting the **interests of the special category states (खास श्रेणी के राज्य)** i.e. 8 North Eastern states and Himalayan states (Himachal and Uttarakhand.) e.g. 2021-Sikkim proposed to levy Covid Cess on pharmaceutical companies and electricity companies to collect money for Corona wave 2.0. But, GST Council's group of ministers (GoM) committee rejected Covid Cess proposal. However GoM committee recommended Union Govt to give ₹250 crore grant/compensation to Sikkim for fighting Covid Wave 2.0. (कोरोना की दूसरी लहर से लड़ने के लिए सिक्किम को मुआवज़ा/अनुदान)
8. **Compensation** to the states for their revenue loss in switching from VAT to GST regime (through Cess mechanism: राज्यो को उपकर द्वारा मुआवजा)
9. **Dispute settlement** between Union vs state(s), state(s) vs state(s). (विवाद निपटान)

So, Constitutional Amendment⟶ set up GST council ⟶ GST council's meeting⟶ laws passed by Parliament and Vidhan Sabhas, to implement the GST related mechanisms.

1. 👱 Parliament has passed:
   - ✓ Central Goods & Services Tax **Act** (**CGST**: केंद्रीय वस्तु एवं सेवा कर अधिनियम)
   - ✓ Integrated Goods & Services Tax **Act** (**IGST**: एकीकृत माल और सेवा कर अधिनियम)
   - ✓ Union Territory Goods & Services Tax **Act** (**UTGST**: केंद्र शासित प्रदेश माल और सेवा कर अधिनियम): Finance Act 2020 ⟶ amends UTGST Act to update list of UTs:
     i. (new) Ladakh without legislature.
     ii. (merged) 1) Dadra and Nagar Haveli + 2) Daman and Diu = treated as single UT (because Govt merged them in 2019).
   - ✓ Goods and Services Tax (**Compensation** to States) Amendment **Act**. माल और सेवा कर (राज्यों को मुआवजा) संशोधन अधिनियम
   - ✓ Parliament originally passed them 2017, later amended in 2018 As per the recommendations of the GST Council.
2. 👧🕉️ State Legislatures have passed State Goods and Services Tax Acts. (SGST)
3. 👴♀©**Jammu & Kashmir** passed SGST Act on 8th July, 2017⟶ then GST system became effective there as well. **JAMMU AND KASHMIR REORGANISATION ACT, 2019** has not abolished this SGST act. Present status is:
   - ✓ **SGST** applicable on J&K (UT with Legislature:विधायिका युक्त केंद्रशासित प्रदेश)
   - ✓ **UTGST** on Ladakh (UT without Legi: विधायिका-हीन केंद्रशासित प्रदेश)

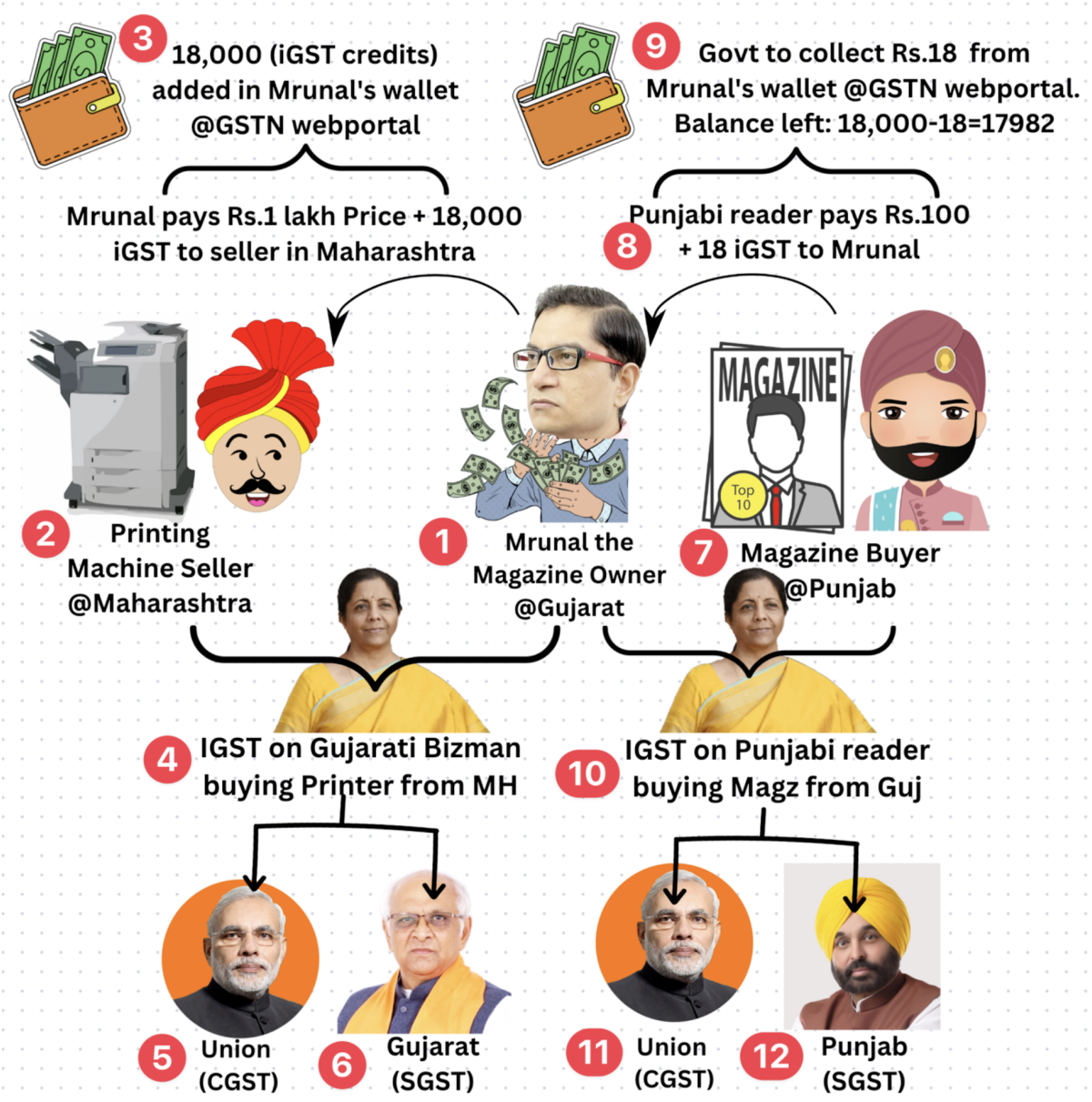
> 👧🕉️👴♀© Stereotyping icons for faster revision. Take no offense.

22.10.2 🔨⚖️GST Council Decision not binding on States

⇒ 2022- Supreme Court observed that GST Council's decisions are not binding on the states.
⇒ This may create challenges in the future, if (non-BJP) states do not comply with the GST council

decisions. (सुप्रीम कोर्ट ने पाया कि GST परिषद के आदेशों को मानना- राज्य सरकारों के लिए अनिवार्य/बाध्य नहीं है.)

22.11 GST INPUT TAX CREDIT (ITC: इनपुट कर प्रत्यय)



in same the State (or UT without legislature) = Intra-state supply (अंत:राज्य)	in another State (or UT w/o LSR) = Inter-state supply (अंतरराज्यीय)
1. **Union levies** →CGST 2. **State levies** → SGST	1. Union levies IGST =CGST + (SGST or UTGST depending on destination).

in same the State (or UT without legislature) = Intra-state supply (अंत:राज्य)	in another State (or UT w/o LSR) = Inter-state supply (अंतरराज्यीय)
3. **UT without legislature levies** ⟶ UTGST	2. From this IGST⟶ CGST goes to Union, and the other portion goes to the Destination State/UT without legislature.

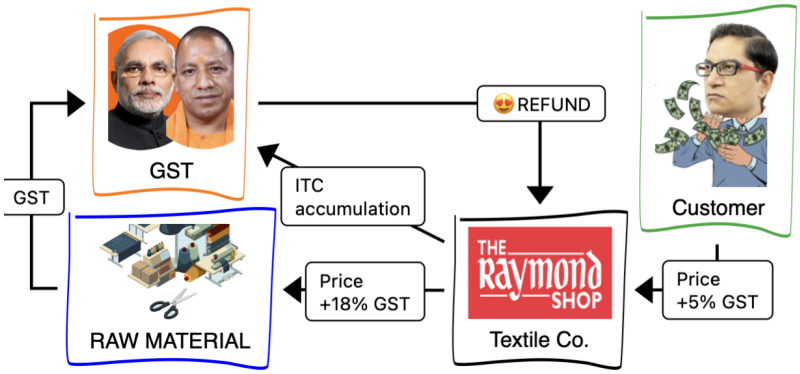
⇒ GST is a '**destination based**' indirect tax on consumption of goods & services.(GST उपभोग पर लगने वाला 'स्थान-आधारित' अप्रत्यक्ष कर है)

⇒ GST is applicable on **supply of goods or services**. (वस्तुओं और सेवाओं की आपूर्ति पर लगता है)

22.11.1 Inverted Duty Structure Problem in GST (उल्टा शुल्क संरचना:)

An inverted duty structure in GST arises when the taxes on output or final product is lower than the taxes on inputs, creating an **inverse accumulation of input tax credit**- then government has to refund the GST to the business man. = administrative & accounting inconvenience for the govt.

Input Raw material	Output Final Product	Implication
Fiber (रेसा) 18% GST	Apparel shirt/pants etc. = 5% GST (वस्त्र), if price not more than ₹2500.	Trader will accumulate 13% GST credit. Govt will have to refund.



Solution: 2025- GST council has reduced the % on raw material (fibers) from 18% to 5%

22.11.2 Inverted Duty Structure problem in GST 2.0 (2025)

Industry	Input (GST %)	Output (GST %)
Tractor	Some parts (18%)	5% on spare parts Tractor -5–18% depending on Engine size
Bicycle	Steel, Plastic (18%)	5% on Bicycle
Edible Oil	12%-18% on inputs like machinery, packaging material,	5% on edible oil ^^

^^Edible oil industry accumulated ₹300+ crore in ITC, but Govt, not refunding/releasing on time ⟶ industries is capital is stuck.

22.11.3 → GST 2.0 +ve Popcorn 3 slabs gone

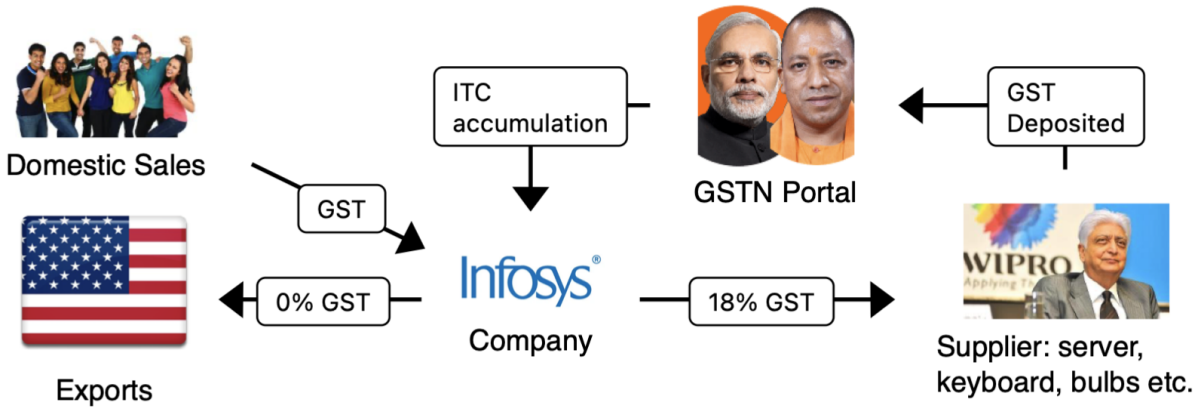
Item	GST 1.0 (2017–25)	GST 2.0 (2025-Sept)
Papad, Bread (branded or otherwise)	0%	0%
Pizza bread, Plain chapatti or roti	5%	0%
Paratha	18%	0%
Popcorn (salted)	5%	5%
Popcorn (regular, salted and spiced)	12%	5%
Popcorn (caramelised)	18%	5%

This reduces the scope for litigation between traders and tax officials. मुकदमेबाजी कम होगी।
But why did previously govt had 3 rates on popcorn? Ans. Due to ITC misuse but it is not imp / do phd from this old video PHD https://youtu.be/c2bEvBN-_f8?si=GDy4r2PBCBKqn2kH

22.11.4 🚗 GST on used cars' margin value (2024 – govt issues clarification)

Matter	GST%
If individual person sells his used car to another person	no GST applies.
If a dealer buys a USED-car for Rs 9 lakh and sells it for Rs 10 lakh	the 18% GST only to the Rs 1 lakh margin (profit).
Dealer sells a brand new car to a customer	GST on entire selling price. (Rate of GST depends on type of vehicle e.g. 18% on small car, 40% on SUV etc.)

22.11.5 GST: Exempt vs ZERO RATED



GST ZERO RATED (0%)	GST EXEMPT/NIL RATED	NON-GST Supply
IF Govt levies 0% GST on the Goods/Services & ✅ALLOWS bizman to claim ITC. For example: ⇒ 18% GST on laptop bought by Infosys Company (Input)	IF Govt levies 0% GST, & ✋ DOESNOT allow Bizman to claim ITC. E.g. Jaggery (गन्ने का गुड़). ⇒ So if Bizman bought a machine for crushing	These goods/services are NOT subjected to GST. They are subjected to other taxes. E.g. ⇒ Petrol, Diesel etc 5 hydrocarbon products= Excise & VAT. ⇒ 🥂Alcohol for human

GST ZERO RATED (0%)	GST EXEMPT/NIL RATED	NON-GST Supply
⇒ 0% GST on EXPORT of Software Services (Output). ⇒ Here, Indian software company will accumulate / gain 18% GST. ##	sugarcane ⟶ he'll not get ITC ⇒ So, then. to recover the cost+tax on input, Bizman may charge more selling price of jaggery on customer.	consumption = State Excise & VAT
GST-ITC Given = YES	**GST-ITC Given = NO**	**GST-ITC Given = NO**

⇒ In Software EXPORT case, Infosys Company gained ITC. So, A) Govt will REFUND and/or B) Infosys can use this ITC for adjusting/offsetting future sales within India.

⇒ In both case A and B case, ultimately govt will not be able to earn GST from Infosys, however government benefits from the increased exports⟶ jobs, GDP. Besides, more profit for Infosys in export = more Corporation Tax for Govt.

22.11.6 Vaccine GST can't be 0% ZERO RATED or "EXEMPTED" because

Present situation	Export of Vaccine	Domestic Sale of Vaccine
Vaccine ⟶	0% GST (Zero Rated)	5% GST

⇒ If Vaccines domestic sales pe 0% GST (ZERO RATED) = Businessman will accumulate large amount of ITC. Govt will have to refund. = Less tax collection for Govt.

⇒ If Vaccines' domestic sales pe GST EXEMPT/NIL RATED = Businessman will NOT get any ITC on raw material /machines ⟶ he'll price of vaccine on patient. (similar to Sugarcane machine-Jaggery case).

MORAL Outrage: Isn't there an inconsistency in logic/will there not be inverted duty structure problem in Vaccine mfg similar to Textile? Ans. Send suggestion to GST council.

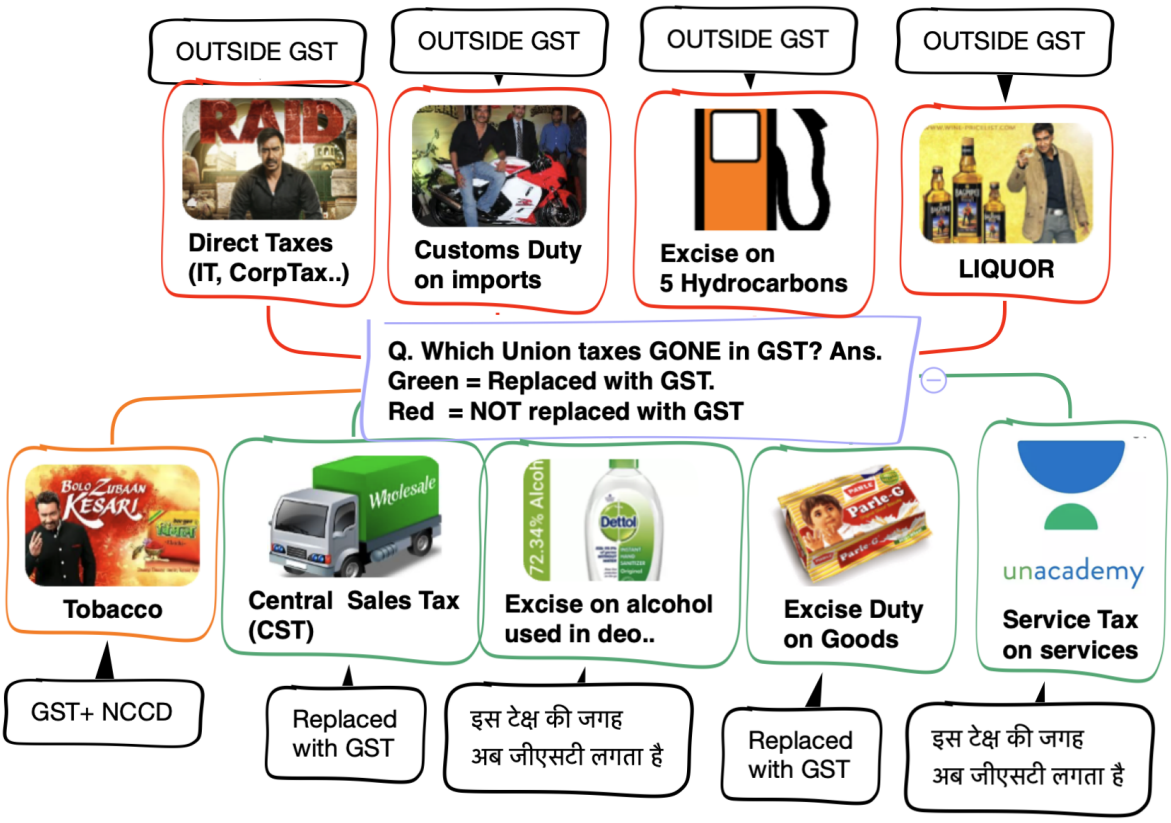
22.12 Centre's Indirect Taxes subsumed in CGST

Table 1: केंद्र के अप्रत्यक्ष कर जो केंद्रीय वस्तु एवं सेवा कर (सीजीएसटी) में विलीन हो गए

Indirect Tax of Union	Whether replaced by CGST?
For import-export: Basic Customs Duty, cess / surcharge on it. सीमा शुल्क और विभिन्न उपकर / अधिभार **Related Act: Customs Act 1962**	- No, Customs Duty is NOT replaced with GST. It's separate from GST-regime. So, imported goods are subjected to Customs duty + IGST. - Previously, imported goods were subject to Customs Duty + education cess (शिक्षा उपकर) but Budget 2018 replaced it with Customs Duty + 10% **Social Welfare Surcharge** (समाज कल्याण अधिभार). - Budget-2020: 5% Health CESS (स्वास्थ्य उपकर) on imported medical devices (चिकित्सा उपकरण) for hospitals construction in Aspirational (=backward) Districts.

Indirect Tax of Union	Whether replaced by CGST?
⚓**On imports: Special Additional Customs Duty (SAD), Countervailing Duty (CVD), Anti-Dumping Duty (ADD)**	They're not 'replaced' with CGST. More about them in (More in 📄Pillar#3B: World Trade Organization)
Central Sales Tax **(CST-केंद्रीय बिक्री कर)**	CST was the Union tax levied on sale of items in inter-state trade, and it was assigned to the 'Origin state'. It's replaced with IGST (= CGST + SGST) एक राज्य से दूसरे राज्य में माल सामान बेचने पर ये कर लगता था हालांकि उद्गम राज्य को केंद्र सरकार यह रकम देता था
👨🏦**On providing services: Service tax (सेवा कर) and Krishi Kalyan Cess and Swatchh bharat Cess**	- 1994: FM **Manmohan Singh** introduces 5% Service Tax (सेवा कर) on telephone bills, non-life insurance and stock-brokers [शेयर बाज़ार के दलाल]. - Over the years, more services were subjected to Service Tax. This service tax was NOT applicable on some services e.g. Postal service, School fees etc. - Ultimately, Service Tax+Cess = total 15%. Abolished after GST. [GST आने पर ये सारी चीज़ ख़त्म हो चुकी है]
👩🏭**On manufacturing/production of goods: Excise duty and various Cess / surcharges on it.**(उत्पाद शुल्क और विभिन्न उपकर / अधिभार) **Related Act: Central Excise Act 1944**	- Yes, completely replaced by CGST (except 5 hydrocarbon fuels: petrol, diesel etc.) - Excise on manufacturing medicinal & toiletry preparations containing alcohol (e.g. Cough syrups, deodorants and perfumes) also replaced by CGST. - Alcoholic Liquor for human consumption- falls in States' purview so Union Excise / CGST not applicable on it.
🚭**Excise duty on Tobacco products** [तंबाकू उत्पादों पर उत्पाद शुल्क]	- It's replaced with **GST**. Further, Union also levies + GST **Compensation Cess** + National Calamity Contingent Duty** (**NCCD**:-राष्ट्रीय आपदा आकस्मिकता ड्यूटी) on them. [State also charges SGST on it] - ** 101st Constitutional Amendment allows Union to tax tobacco products separately. - NCCD money goes to Public Account ⟶ **National Disaster Response Fund** set up under Disaster Management Act, 2005.
⛽**Excise duty on production/refining of Crude oil, Petrol (Motor Spirit), Diesel, Aviation Turbine Fuel and natural gas:** कच्चे तेल, पेट्रोल (मोटर स्पिरिट), डीजल, विमानन टरबाइन ईंधन और प्राकृतिक गेस पर	- Once GST council decides the date they'll be brought under GST-regime. अभी जीएसटी नहीं लगता. भविष्य में जीएसटी परिषद तय करेगी उसके बाद लगेगा. - Until then refineries / oil-drilling companies have to pay excise duty+cess/surcharges to Union for production / manufacturing of these items. (and petrol pump owner,

Indirect Tax of Union	Whether replaced by CGST?
उत्पाद शुल्क	etc will have to pay VAT to states on their sale.) - Presently, Petrol & Diesel are also subjected to **Union's Road and Infrastructure Cess** (सड़क और बुनियादी ढांचा उपकर) its ₹₹ goes into Public Account⟶ **Central Road & Infrastructure Fund** under Central Road Fund Act 2000.
🍋🤵♀**Corporation Tax, Income Tax, Capital Gains Tax etc** [निगम कर, आयकर और पूंजीगत लाभ कर]	⇒ 😈*Arre Bhai*, they're 🍋🤵♀DIRECT Taxes of Union, so they are not replaced by GST. ये सब प्रत्यक्ष कर है. ⇒ The GST is meant to replace 🍋🛒🤵♀ INDIRECT Taxes only. जीएसटी केवल परोक्ष करों के साथ जुडा है

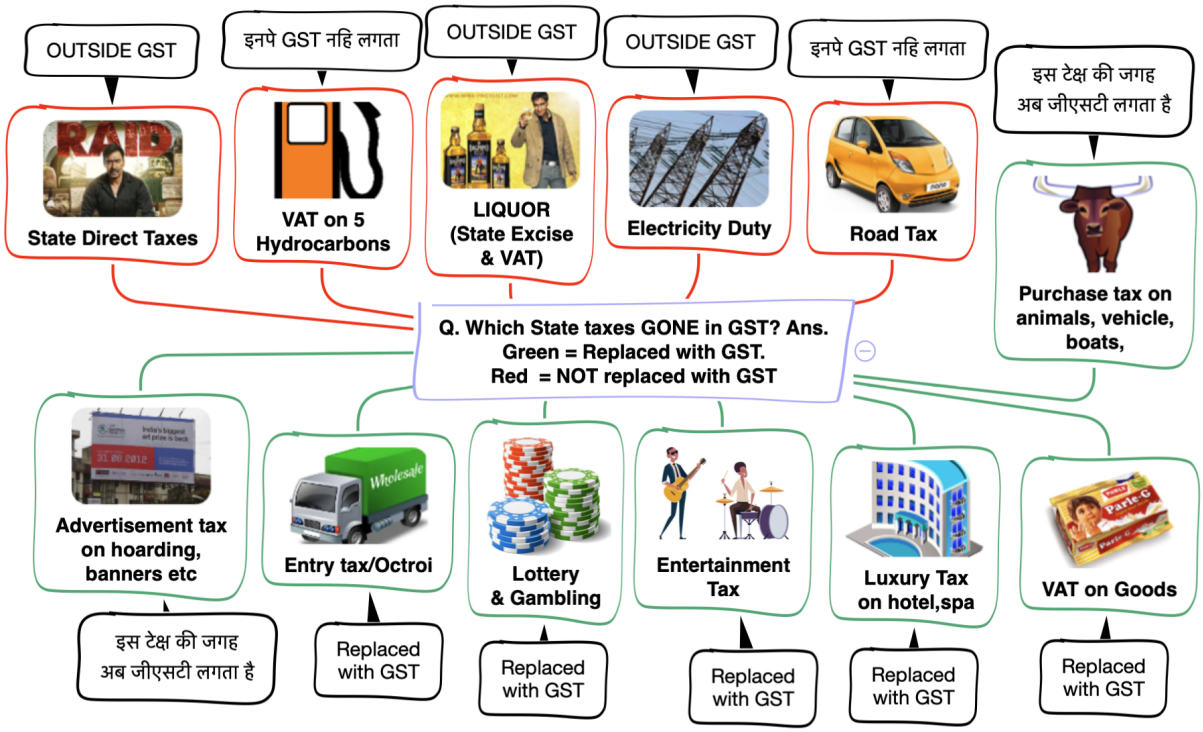


22.13🍋🛒(👩 🕉)🌬 STATES' INDIRECT TAXES SUBSUMED IN SGST

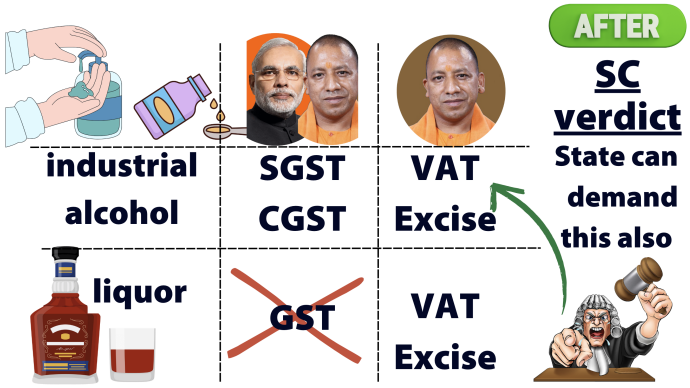
Table 2: राज्यों के अप्रत्यक्ष कर जो राज्य वस्तु एवं सेवा कर (एसजीएसटी) में विलीन हो गए

👩 🕉: Indirect Tax of State Govt. ⟶	whether replaced by SGST?
🛒**On sale of goods: State Value Added Tax (VAT) (In some states called "Commercial tax"** वाणिज्यिक कर**)**	✅Yes, By default VAT is replaced by SGST, but read below:
🛒⛽**State VAT on selling of** Crude oil, Petrol (Motor Spirit), Diesel, Aviation Turbine Fuel and natural gas [ईंधन बिक्री पर राज्य	✋Once GST council decides the date, these'll be brought under GST-regime. Until then, petrol pump owners, LPG gas distributors etc. will have to collect

सरकार की वेट कर]	VAT (+ any cess / surcharges) from the customers and deposit to the state government.
- 🥂 **State Excise on production of liquor for human consumption** (मानव उपभोग के लिए बनी शराब के उत्पादन पर राज्य उत्पाद शुल्क) - 🥂 **State VAT on sale of liquor for human consumption.** (मानव उपभोग के लिए बनी शराब/ **मदिरा** की बिक्री पर राज्य वैट)	✋No, they're completely kept out of GST. [unlike above ⛽petro items where GST council will implement it after "x" date]. Since inception of our Constitution, the power to tax 🥂 liquor was with 💁‍♂️🕉️:States, & it constituted a major source of revenue for them, so States were unwilling to hand it over in GST regime. Had 👨Modi govt tried to bring liquor in GST-regime, then majority of the Vidhan-Sabhas may not have passed this Constitutional Amendment Bill.
⚡**Electricity Duty** बिजली शुल्क	✋No, it's not replaced by SGST
🚗**Road Tax on vehicles.**	✋No, it's not replaced by SGST. Its status as direct/indirect tax is vague because in some states/ vehicle categories: buyer himself deposits while in some cases, seller required to collect & deposit.
🚗**Purchase tax on vehicle, boats, and animals**-खरीद कर	✅Yes replaced by SGST
🏗️**Advertisement tax on hoarding, banners etc.**- विज्ञापन कर	✅Yes replaced by SGST
⛱️**Luxury tax at Hotels, Spas, Resorts etc.**- ~~अय्याशी~~ विलासिता कर	✅Yes replaced by SGST
🚚**Entry tax/Octroi for entry of goods in an area** -प्रवेश के लिए कर , ऑक्ट्रोई	✅Yes replaced by SGST
🐎**Taxes on Lottery, horse race betting, gambling etc.** लॉटरी, घोड़े की दौड़ सट्टेबाजी, जुआ	✅Yes replaced by SGST. Since they're 'sinful/demerit goods', they're subjected to highest slab 28% in GST 1.0 and 40% in GST 2.0 (2025-Sept)
🎥**Entertainment Tax on Cinema, Live Performance shows etc.**- मनोरंजन कर	✅Yes, replaced by SGST unless levied by a local body. e.g. Kerala local bodies 10% on movie tickets.
🍋🤵‍♀️**Income tax on Agriculture, Professional tax, Property tax, Stamp Duty, Land revenue** [कृषि आय कर, व्यावसायिक कर इत्यादि]	😈*Arre Bhai*, they're 🍋🤵‍♀️DIRECT Taxes of State so not replaced by GST. The GST is meant to replace 🍋🛒🤵‍♀️ INDIRECT Taxes only.



22.13.1 States can control/tax industrial alcohol- ruled SC (2024)



- Industrial alcohol, or denatured alcohol, is ethanol treated with chemicals to make it non-consumable/ poisonous for human consumption.
- It is widely used across industries, such as pharmaceutical (cough syrup), cosmetics (perfumes), toiletry preparations (hand sanitizers) etc.
- However, industrial alcohol can still be diverted illegally to produce drinkable alcohol, leading to deaths. So SC ruled State can regulate & tax the industrial alcohol as well (2024).

Present System	SC Judgement 2024-Oct
1991: SC ruled ONLY Union govt can regulate and tax industrial alcohol State govt can control/tax liquor for human consumption.	State government can control/tax the industrial alcohol as well.
Industrial alcohol subjected to GST. e.g. Extra Neutral Alcohol (ENA) = 9% CGST (Union) + 9% SGST (State) = 18% GST	System continued. But State can now additionally/separately demand some extra tax on industrial alcohol as well. (i.e.VAT and

Present System	SC Judgement 2024-Oct
	Excise)
Liquor for human consumption outside the scope of GST. Only State Government can levy excise duty and VAT on it.	system continued, as per left cell.

22.13.2 🥂GST on Extra Neutral Alcohol (ENA)?

⇒ ENA is made from foodgrains and sugarcane molasses (molasses is a byproduct left after crushing of sugarcane.)

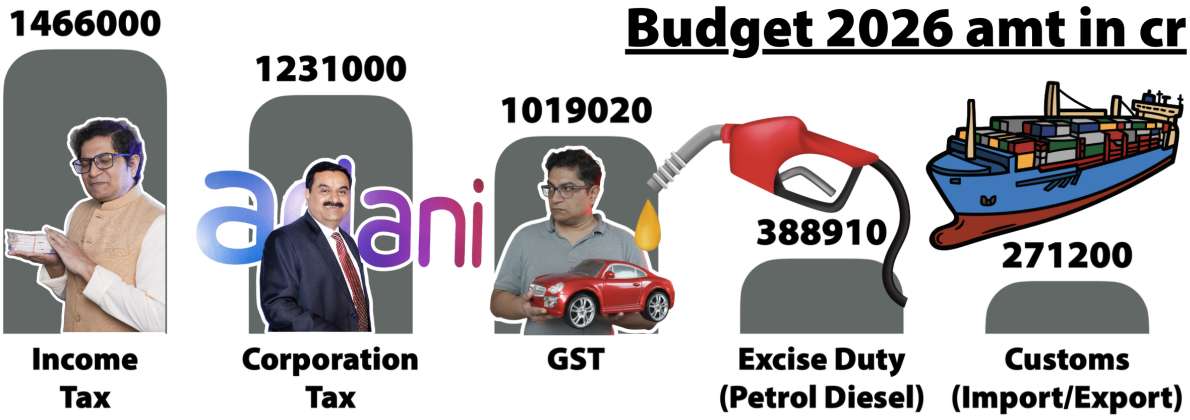
⇒ ENA has neutral smell and taste. (कोई स्वाद/सुगंध नहीं)

⇒ ENA is colourless liquid, it has no impurities. (रंगहीन. कोई अशुद्धि नहीं)

⇒ ENA is used as raw material in cosmetics, medicines, ink, and liquor.

Earlier there was confusion about taxes on ENA. But 2023-Oct: GST Council has given above clarification. That's why news-headlines saying *"GST Council cedes right to states on taxing ENA used in liquor for human consumption"* (जीएसटी परिषद ने मानव उपभोग के लिए बनाई जाने वाली दारु/मदिरा में इस्तेमाल होने वाले ईएनए पर कर लगाने का अधिकार राज्यों को सौंप दिया)

22.13.3 Tax Collection: Highest to Lowest in 👛Budget-2026



👛Budget-2026	👨IT > 🏢 Corporation> 🛒GST > ⛽Excise> ⚓ Customs
👛Budget-2025 (revised)	👨IT > 🏢 Corporation> 🛒**GST** > ⛽Excise> ⚓ Customs [Note: GST rank fell to #3 bcoz GST 2.0 rate cut from 2025-Sept.]
👛Budget-2025 (est)	👨IT > 🛒**GST** > 🏢 Corporation> ⛽Excise> ⚓ Customs
👜Budget-2024	👨IT > 🛒GST > 🏢 Corporation> ⛽Excise> ⚓ Customs
👜Budget-2023	🛒**GST**> 🏢 Corporation>👨IT > ⛽Excise> ⚓ Customs
👛Budget-2022	Same as above (2023)
Budgets from 2019, 2020, 2021	Sometimes Corporation tax was #2, sometimes income tax was #2 but poor cost benefit memorizing all that so I am deleting.
Budgets Before 2019	🏢 Corporation> 🛒GST>👨IT > ⛽Excise> ⚓ Customs

22.14🍋🛒👨🏫 GST RATES ON SERVICES =0%: सेवाओं पर जीएसटी की दर

Which of following is ZERO Rated & which one is NIL Rated/EXEMPT? **Ans.** Poor cost:benefit.

1. Services provided by union government, state government, local bodies, constitutional bodies, department of post (except premium services like speed post), Railways (except premium services like first class AC ticket)
2. Services by Reserve Bank of India and other financial regulators.
3. Services by Banks/NBFCs in connection with Government sponsored banking, insurance and pension schemes. (Refer to financial inclusion handout)
4. ESIC, EPFO services to the subscribers, Group insurance schemes for paramilitary forces
5. Religious, charitable activities, cooperative societies, Public libraries, Public toilets, Crematorium, Burial grounds.
6. Rent on residential accommodation (किराए पर लिया गया रिहायशी मकान)
7. Aviation Services in North-eastern States (उत्तर पूर्व में उड्डयन सेवा)
8. Transport services to milk, (physical/paperbased) newspaper, defence equipment, disaster relief material
9. Doctors, para-medics, Ambulance, Blood bank.
10. Agriculture warehouse, cold storage, renting of Agro machinery, Contractor who is supplying farm labourers, APMC (Agricultural produce market committee)
11. Agriculture pre-processing of food e.g. ripening, waxing, retail packing, labelling of fruits and vegetables which do not change essential characteristics of the said fruits or vegetables.
12. Veterinary doctor, Animal husbandry related services except racehorses
13. 👨🏫 Educational services by Educational Institutes (like schools colleges universities Vocational institutes. NOT COACHING Institutes)
14. Entrance Exam fee collected by Union or state government orgs.
15. Private training partners in government skill development schemes
16. Sports training and events by recognised sports body
17. Sports, Art, Culture etc. clubs with member-fees less than "X" rupees.
18. Circus, dance, drama or ballet, award function, concert, pageant, musical performance or any sporting event where admission fees is less than "X" rupees.
19. Admission to a museum, national park, wildlife sanctuary, tiger reserve, zoo, ASI-recognized Heritage sites.
20. **2020-Oct decision**: satellite launch services supplied by ISRO, Antrix Corporation Ltd. and NSIL would be exempted. (More about these organizations in (More in 📄Pillar#5: communication infrastructure)
21. Any service EXPORTED outside India (THEY ARE "ZERO RATED Export")
22. Individual life and health insurance policy (18% reduced to 0% in GST 2.0-2025)

In the Pre-GST era, most of above services were having 0% Service Tax. वर्तमान में उक्त पर 0% जीएसटी लगता, उसी प्रकार भूतकाल में जब 'सेवा-कर' था तो वो भी इनमें से ज्यादातर सेवाओं पर 0% था.

If a given service is not in the above list, then it will be subjected to GST: <see next table>

Example of services (कुछ उदाहरण सेवाओं के जिन पर GST लगता है)	**GST 1.0**	**GST 2.0**
Plumbing, carpentering, Ads in print media, Ebooks	5%	5%
- Accommodation in hotels, inns, guest houses with daily charges upto ₹7500/-; Movie tickets less than "X" price, Engineering related services	12%	5%
⇒ 👨🏫 Coaching Services, E-Books, e-newspaper, e-music, ⇒ WebSeries/OTT platforms-AmazonPrime, Hotstar etc. ⇒ Ads in digital media, Legal and accounting services ⇒ DTH/TV channels, Movie tickets above Rs."x", 5 star Hotel rooms	18%	18%
🏇Gambling, Horse Race club, Casino, online gaming.	28%	40%

For more, you may refer to: https://cbec-gst.gov.in/gst-goods-services-rates.html

22.14.1 GST → Services → Rent on Home/Hostel/Office/Shop?

22.14.2 🍋🛒GST on Actionable Claims

⇒ An actionable claim represents a legal right to demand/recover something (money, goods, services) from another party- subject to terms and conditions.

⇒ e.g. loan given by bank, credit card, Insurance policy, unpaid invoices, rent, etc.

⇒ Actionable claims are subjected to GST. But SOME OF THEM may have separate calculation methods.

Matter	**Amount**	**GST**
(A) Loan given / credit card spending limit given	₹10 lakh	N/A
(B) Application fee of Bank loan/credit card	₹500	18% GST
(C) Late fees / penalty fee (if/when applicable)	₹100	18% GST
Total A+B=	₹10,00,600	GST only on the application fees (₹500) and penalty (₹100)

🚩👶 FAQ: How is GST counted on rent and unpaid invoices etc? Ans. We are not here for C.A. exam. 🐎Be a race-horse. Only focus on the track. 🐂Don't loiter like a street-bull.

22.14.3 🎲 GST on Actionable Claims → Lottery / Online Gaming

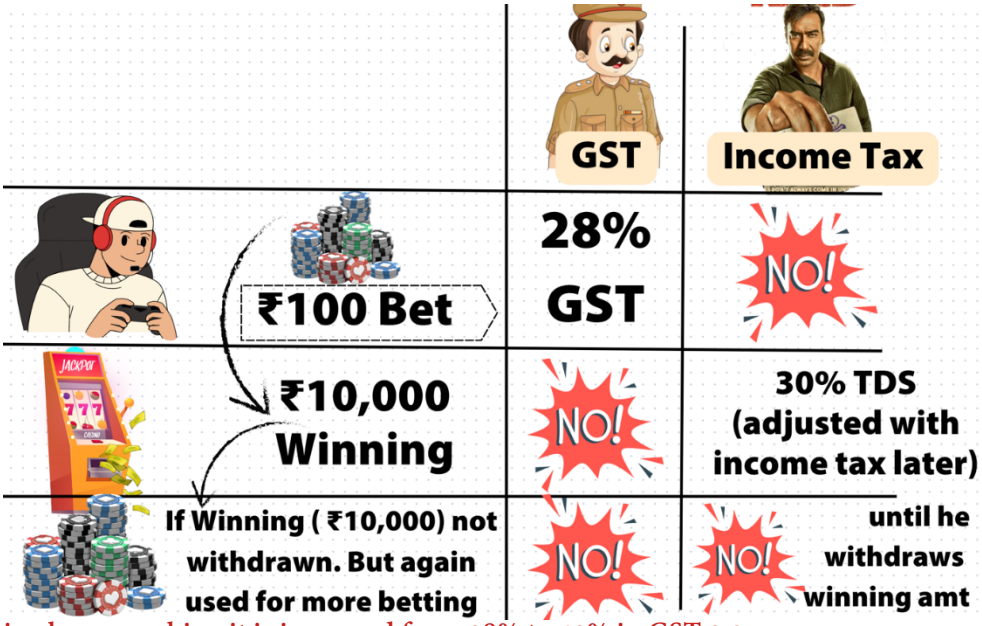
Casino and online gaming apps owner had started court-litigation regarding the definition itself - to avoid paying taxes. Their argument is as follows:

🤦‍♂️Casino/Gaming Owners' demand	👩‍⚖️GST council decision
🙏Lottery/online gaming is not actionable claim. Because there is no guarantee of winning. So don't ask for GST.	🖐️It is an actionable claim and we will demand GST.
🙏ok then plz have 18% GST on game of skill (e.g. Chess) and 28% GST on 🎲 game of luck (e.g.Roulette, Dice)	🖐️28% GST on everything. We don't care if it is a game of skill or game of luck.
🙏still if u want to charge GST on it → then GST should be only on the fees. Plz don't ask GST on the entire amount (=full bet value).	🖐️We'll charge GST on entire amount. See next section 👇

22.14.4 🎲GST → Lottery / Online Gaming → GST on full bet value (gross value)?

Components	Amt	🤦‍♂️Companies' demand	👩‍⚖️GST council
Bet	₹ 80	🙏Plz don't ask GST on this	rejected
Platform Fees	₹ 20	🙏Plz ask only 18% Gst on this	rejected
Total (Full Value of Bet) / gross revenue	₹ 100	🙏Plz don't ask GST on this full bet value!	28% GST on ₹100

22.14.5 🎲GST → Lottery / Online Gaming → on 'entry bets' but not on 'winnings'



- Update in above graphics: it is increased from 28% to 40% in GST 2.0

- Online gaming with real money is banned through a separate law in 2025. (Ref 2B-HDT)

22.15 🍋🛒🍋 GST Rates on Goods : 0%: सामान पर जीएसटी की 0% दरें

Which of following is ZERO Rated & which one is NIL Rated/EXEMPT/0%? Ans. Poor cost:benefit.

1. Fresh milk, Pasteurized Milk, Ultra-High Temperature milk (UHT- it has longer shelf life than pasteurized milk, previously UHT = 5% but reduced to 0% in GST 2.0-2025)
2. Live animals (except race horses), poultry, pigs, shrimps, fishes, insects etc
3. FRESH, "**UNBRANDED**" and not 'Prepacked' animal products eggs, meat, honey, rawsilk etc.
4. FRESH, "**UNBRANDED**" and not 'Prepacked' flowers, leaves, fruits vegetables, unroasted coffee beans & tea leaves, Salt.
5. Bread (**except when served in Restaurant/ pizza)
6. Prasadam supplied by religious places. (धार्मिक स्थानों द्वारा दिया जाने वाला प्रसाद/गंगाजल/पूजा सामग्री)
7. Deities made of stone, marble or wood;
8. Puja Samagri like Rudraksha, Panchamrit, Gangaajal
9. Rakhi, Kumkum, Bindi, Sindur, Plastic / glass bangles without precious metal.
10. Human blood, contraceptives, sanitary napkins, tampoons, hearing aid
11. Tocilizumab (Corona Drug), Amphotericin B (Black Fungus Drug) (From 2021-Jun)
12. Firewood. (Note: Electricity is outside GST system. State levy Electricity duty separately)
13. Judicial / Non-judicial stamp papers, Court fee stamps, ordinary post cards etc.
14. Printed Books; physical edition of Newspapers, journals, periodicals irrespective of whether they have advertisement or not.
15. Khadi sold by Khadi and Village Industries Commission(KVIC) certified outlets
16. Gandhi topi, Charkha, national flag, Earthen pot, clay idols
17. Agricultural hand tools like spade, axes, sickle.

18. When a constitutional / public authority auctions the gifts received by him.
19. Spacecraft, satellites and their launch vehicles.
20. Import of specified defense goods not manufactured in India
21. Free sample or gift given. E.g. "Offer: Toothpaste pe toothbrush FREE" then only Toothpaste subjected to GST. No gst on that free-toothbrush. (ग्राहक को लुभाने के लिए मुफ़्त में दिया जाने वाला सैंपल)
22. Any Goods EXPORTED outside India (technically called "ZERO RATED Export")

22.15.1 🌸 0%/NIL Goods in GST 2.0 (2025)

- Ultra-High Temperature (UHT) milk, Prepackaged and labelled chena or paneer; Chapati or roti, paratha (previously 5%)
- lifesaving drugs and medicines; drugs for cancer, rare diseases and other severe chronic diseases. (Previously 12-18%)
- art and antiques work, military aircraft, military drones (Previously 18%)
- students: erase, Pencils, Pencil sharpeners, Exercise book, graphs, notebooks etc. (Previously 12%)

If a given goods is not in the above 0% list (and not kept out the GST-regime like *Petrol-Diesel-Daaru*), then it will be subjected to GST: such as following:

22.15.2 🍋🛒🍋 GST Rates on prepacked items : 0% removed

BEFORE-2022	From 2022
0% GST on cereals (wheat rice etc), flour (aata), pulses (daal), curd, Lassi, puffed rice (poha)	5% GST if they're ✅ PREPACKED and ✅ Labelled and ✅ packet size is smaller than 25KG or 25 litres

FAQ: Apart from above items, which other XYZ food item pe above rule applicable or not?

Ans. Newspapers did not bother to highlight but you can satisfy curiosity by doing self-PHD on this list: https://cbic-gst.gov.in/gst-goods-services-rates.html

22.15.3 🍋🛒🍋 GST on goods- various slabs

SOME Example of Goods	GST 1.0	GST 2.0 (2025)
Semi-precious stones like agate, amber, topaz, lapis lazuli. Unworked (rough) diamonds.	0.25%	0.25%
Diamonds cut and polished (this new slab created in 2022-Jul)	1.50%	1.50%
Jewellery, Pearls, Gold, platinum, silver etc.	3%	3%
Electric Vehicle	5%	5%
• Milk powder, Baby food, Pizza bread, Mineral ores, liquid jaggery • Biofuel such as Ethyl Alcohol (Ethanol) for petrol-blending • Some medicines • Textile priced not more than Rs.2500.	5%	5%

SOME Example of Goods	GST 1.0	GST 2.0 (2025)
Textile priced over Rs.2500	12%	18% 😢
Icecream	18%	5% 😇
➢ Electronics, Computer & Mobile accessories ➢ **Alcohol** based **hand sanitizers** ➢ Paint, Polish, Wax and similar petroleum products	18%	18%
Luxury goods, Sin Goods, Demerit goods (विलासिता /पाप/ अवगुण सामान): ➢ Caffeinated Beverages e.g. Red bull, 🚭 Tobacco products, Pan Masala, luxury cars, guns, etc.	28%	40%

MCQ. Which one of the following statements regarding GST is not correct? (CDS-2024-1)

(a) *Amendment bill 115 to the Constitution of India kept alcohol for human use and five petroleum products outside the ambit of GST.*

(b) Amendment bill 122 kept only alcohol for human use outside the ambit of GST.

(c) Precious metals are taxed at a rate of 1% under GST.

(d) Unworked diamond is taxed at a rate of 0.25%

🔠❓***MCQ. Consider the following items:(Asked in UPSC-Pre-2018)***

1) Cereal grains hulled *2) Chicken eggs cooked*

3) Fish processed and canned *4) Newspapers containing advertising material*

Which of the above items is/are exempted under GST (Good and Services Tax)?

(a) 1 only *(b) 2 and 3 only* *(c) 1, 2 and 4 only* *(d) 1, 2, 3 and 4*

22.16🌸 GST 2.0: Intro & Origin

- 2017: GST was started with four major slabs- 5%,12%,18% and 28%. Additionally, there was special rate for metals and precious stones.
- 2025-Sept: GST was rationalized. 99% of the goods and services in 5% Merit Rate (मेरिट दर) & 18% Standard Rate (मानक दर). [**Although few items in the 40% demerit slab (अवगुण-दर); & precious metals and stones in 0.25%-3% sales.**]
- New rates will become effective from 22/Sept/2025.
- **Note**: actual list is very huge. Phd from pib.gov.in/PressReleasePage.aspx?PRID=2163555

22.16.1 🌸😇 GST 2.0 +ve: 40% demerit Slab

GST on following good services have been hiked from 28% to 40%

- Sporting events like the IPL 40% (for normal non-IPL sports' tickets: 0% GST if price lower than 500, else 18% GST if price ₹ 500 or higher)
- Betting, casinos, gambling, horse racing, lottery,
- online money gaming (as such it is banned now under separate law)
- Revolvers and pistols; luxury cars, heavy bikes (>350cc)
- Aircraft, Yacht and other vessels for pleasure or sports
- Aerated soft drinks e.g. Pepsi-cola; Caffeinated Beverages e.g. RedBull
- Tobacco products, Gutka, Pan masala, Cigar, Smoking pipes

DAILY ESSENTIALS	FROM	TO
Hair Oil, Shampoo, Toothpaste, Toilet Soap Bar, Tooth Brushes, Shaving Cream	18%	5%
Butter, Ghee, Cheese & Dairy Spreads	12%	5%
Pre-packaged Namkeens, Bhujia & Mixtures	12%	5%
Utensils	12%	5%
Feeding Bottles, Napkins for Babies & Clinical Diapers	12%	5%
Sewing Machines & Parts	12%	5%

AUTOMOBILES	FROM	TO
Petrol & Petrol Hybrid, LPG, CNG Cars (not exceeding 1200 cc & 4000mm)	28%	18%
Diesel & Diesel Hybrid Cars (not exceeding 1500 cc & 4000mm)	28%	18%
3 Wheeled Vehicles	28%	18%
Motor Cycles (350 cc & below)	28%	18%
Motor Vehicles for transport of goods	28%	18%

HEALTHCARE SECTOR	FROM	TO
Individual Health & Life Insurance	18%	Nil
Thermometer	18%	5%
Medical Grade Oxygen	12%	5%
All Diagnostic Kits & Reagents	12%	5%
Glucometer & Test Strips	12%	5%
Corrective Spectacles	12%	5%

FARMERS & AGRICULTURE	FROM	TO
Tractor Tyres & Parts	18%	5%
Tractors	12%	5%
Specified Bio-Pesticides, Micro-Nutrients	12%	5%
Drip Irrigation System & Sprinklers	12%	5%
Agricultural, Horticultural or Forestry Machines for Soil Preparation, Cultivation, Harvesting & Threshing	12%	5%

EDUCATION	FROM	TO
Maps, Charts & Globes	12%	Nil
Pencils, Sharpeners, Crayons & Pastels	12%	Nil
Exercise Books & Notebooks	12%	Nil
Eraser	5%	Nil

ELECTRONIC APPLIANCES	FROM	TO
Air Conditioners	28%	18%
Television (above 32") (including LED & LCD TVs)	28%	18%
Monitors & Projectors	28%	18%
Dish Washing Machines	28%	18%

Graphics source: IndianExpress dated 4/sept/2025

22.16.2 🌸😇 GST 2.0 +ve → Promoting Healthy eating habit

Pre-packaged and labelled	GST 1.0 (2017–25)	GST 2.0 (2025-Sept)
Paneer	5%	0%
Cheese	12%	5%

Paneer is considered to be more healthy than Cheese.

22.16.3 🌸😇 GST 2.0 +ve → Promoting higher/safer quality food

Item	GST 1.0 (2017–25)	GST 2.0 (2025-Sept)
Loose Paneer made by Shopkeeper (= unhygenic)	0%	0%

Paneer prepacked and labelled by Amul	5%	0%

People used to buy loose (=unhygienic) paneer to save money in GST, but now they prefer prepackaged which is safer.

22.16.4 🌸😇 GST 2.0 +ve → Removal of cess → Small Vehicles Cheaper

Item	GST 1.0 (2017–25)	GST 2.0 (2025-Sept)
Small cars (length ≤4m, engine ≤1200cc petrol or ≤1500cc diesel)	28% GST + cess = 43–48%	18% (& no cess)
Luxury cars, SUVs	28% GST + cess = 48–50%	40% (& no cess)
Small Motorcycles (≤350cc)	28%	18%
Heavy Motorcycles (>350cc)	28% + cess = 31%	40% (& no cess)

22.16.5 🌸😇 GST 2.0 +ve → Removal of cess- Coal cheaper?

Item	GST 1.0 (2017–25)	GST 2.0 (2025-Sept)
Coal	5% GST + Cess = 27%	18% GST, no cess.

This will help making thermal electricity more cheaper. Note: electricity is not subjected to GST. It is subjected to state electricity duty.

22.16.6 🌸😇 GST 2.0 +ve → Housing to get cheaper

Item	GST 1.0 (2017–25)	GST 2.0 (2025-Sept)
Cement	28%	18%
Marble, granite, sand lime bricks etc	18%	5%

- It will also unlock capital & cash flow for the builders (bcoz less part of their money will remain stuck in the ITC credits on cement purchase).
- it will make the housing more affordable for the consumers.

22.16.7 🌸😇 GST 2.0 +ve → Fertiliser industry: capital unlocked

fertilizer Industry	GST 1.0 (2017–25)	GST 2.0 (2025-Sept)
input (sulphuric acid, nitric acid, and ammonia)	18%	5%
output (fertilizer)	5%	5%
implication	inverted duty structure^^	capital unlocked

^^ here fertilizer company will accumulate the ITC but, govt will not release the refund it quickly ➡ company's capital will remain stuck up in ITC credits in GST portal. But now the problem is solved.

22.16.8 🌸😇 GST 2.0 positive for Mains Ans WRITING

Note: it is not possible to memorise every "before-after" rate, so I have only mentioned major rates.

Rate Reduction	Implication
Variety of prepacked food, soap,	Savings for Indian households.

shampoo, toothpaste, a bicycle, kitchenware (12–18% → 0–5%)	
White goods = air conditioners, dishwashers, fridges, etc. Large household electronics. (18%)	Savings for Indian households. Previously, television had two tax rates — 18% and 28% — depending on the screen size 32 inches or more. Now single rate 18%.
Life and health insurance (18% → 0%)	Will make insurance more affordable, particularly for senior citizens and low-income families, raising India's insurance penetration and strengthening social security.
Medicines (reduced to 0–5%)	Wider access to modern medicine and diagnostics, easing financial burdens on households.
Tractors, farm machinery, fertilizers, sulphuric acid, and ammonia (5%)	Lowers costs for farmers, enhancing affordability of essential agricultural equipment, improving farm productivity.
Handicrafts & leather goods	Stimulates employment in labour-intensive traditional industries.
Man-made fibre and yarn (5%)	Removes inverted duty problem and boosts competitiveness, exports, and jobs.
Cement (28 → 18%)	Reduces construction costs, drives multiplier effects in housing and infrastructure.
Renewable energy devices (12 → 5%)	Accelerates India's green growth by making renewable energy solutions more affordable.
Automobiles Small cars & Bikes (28% → 18%)	Demand, production, exports, and jobs.
Commercial vehicles e.g. buses,trucks (28->18)	Reduce logistics costs for the economy Encourage passenger/cargo companies to upgrade their fleets with modern, fuel-efficient, and safer trucks and buses

22.16.9 🌸😇 GST 2.0 +ve → Positive: process and administrative reforms

- Goods and Services Tax Appellate Tribunal (GSTAT) will become operational by year-end (2025) = faster dispute resolution and enhanced trust in the system.
- Faster GST registration for small traders.
- Faster refunds for Zero Rated Supplies & supplies with Inverted Duty Structure.

22.17🥀😢 GST 2.0- NEGATIVE / CRITICISM, CHALLENGES

22.17.1 🥀😢 Items with no change in GST 1.0 vs 2.0

% rate	Item
0.25%	precious stones other than diamond e.g. topaz

1.5%	jewellary making service
3%	Diamond, gold, pearls, silver
5%	Electric vehicles

22.17.2 🍗😢 GST 2.0 -ve → Insurance industry – no ITC so insurance may not get cheap?

Type	GST 1.0	GST 2.0 (2025-Sept)
Group health policies (e.g. company owner buying for all employees)	18%	18%
General insurance (e.g. car)	18%	18%
Individual life and health insurance	18%	0%^^

- ^^ Insurance company would lose the input tax credits on these policies.
- If they forward shift the burden, insurance policies will remain expensive for consumers.
- If they backward shift the burden, profit margins will decline.
- Therefore, insurance industry wanted not 0% tax, but 5% tax

22.17.3 → GST 2.0 -ve Inverted duty structure in GST 2.0 (2025)

Industry	Input (GST %)	Output (GST %)
Tractor	Some parts (18%)	5% on spare parts Tractor -5–18% depending on Engine size
Bicycle	Steel, Plastic (18%)	5% on Bicycle
Edible Oil	12%-18% on inputs like machinery, packaging material,	5% on edible oil ^^

^^Edible oil industry accumulated ₹300+ crore in ITC, but Govt, not refunding/releasing on time → industries is capital is stuck.

22.17.4 🌹😢 GST 2.0: Rates increased on some sectors

Type of air ticket	GST 1.0	GST 2.0 (2025-Sept)
Air Tickets Economy Seats	5%	5%😇
Air Tickets Premium economy and business class	12%	18% 😢
MSME Labour charges	12%	18% 😢
Garments upto ₹2500 😇	5%	
Garments priced > ₹2,500 each	12%	18% 😢

22.17.5 🌹😢 GST 2.0 -ve → Need for reviving Anti-profiteering Authority

Chronology	Matter
2017–22	The National Anti-Profiteering Authority (NAPA) was established to punish

	businesses that failed to pass GST benefits to customers. (2017 में जीएसटी लाभ उपभोक्ताओं तक न पहुंचाने वाली कंपनियों को दंडित करने के लिए राष्ट्रीय लाभ-विरोधी प्राधिकरण (एनएपीए) की स्थापना हुई थी)
2022	NAPA was abolished, and its responsibilities were transferred to the Competition Commission of India (CCI). However, the CCI's limited manpower mostly looks at large corporations.(सीसीआई में मानवबल की कमी के कारण वे केवल बड़े मामले देखते है)
2025-Sept	GST 2.0 rationalization raises concerns about companies not passing reduced tax rates to consumers. Given the CCI's understaffing, there's a case for reviving the Anti-Profiteering Authority. (जीएसटी 2.0 में टैक्स कटौती के बावजूद ग्राहक को लाभ न मिलने की चिंता; एनएपीए को पुनर्जीवित करने की जरूरत।)

22.17.6 🥀😢 GST 2.0 -ve → Loss of 48,000 cr for Govt

- Rate cuts likely to cause ₹48,000 crore a year revenue loss. (Also called called revenue forgone, or tax expenditure, ref 2A1 Income tax HDT)
- The union hasn't clarified how it will compensate the states for this.

22.17.7 🍕🛵 Swiggy Zomato delivery to get expensive?

Service	GST 1.0	GST 2.0 (2025-Sept)
local delivery services through Electronic Commerce Operator (ECO)	Lack of clarity, bcoz Swiggy-Zomato said delivery boy not our employees, we simply collect from customer & give to delivery boys!	18%. e.g. ₹100 Burger pe 5% GST on packed food + ₹20 delivery service pe 18% GST

22.17.8 🥀😢 GST 2.0 -ve → Bidi to get cheaper- increasing cancer patients

- Input Bidi ke Tendu leaves : 18% to 5% and Output Bidi : 28% to 18%

22.17.9 🌸😇✍️ Conclusion for GST 2.0

- Overall, GST 2.0 has lowered the tax burden on common people, ease of doing business with faster registration for traders, released locked working capital via faster refunds. (जीएसटी 2.0 ने करो का बोज कम किया, पंजीकरण और रिफंड को तेज किया है ।)
- Thus,GST 2.0 is a people's reform benefiting citizens, farmers, workers, businesses and entrepreneurs alike. (जीएसटी 2.0 एक जन-सुधार है जो नागरिकों, किसानों, श्रमिकों, व्यवसायों और उद्यमियों को समान रूप से लाभ देता है।)
- GST 2.0 will help in a long way in achieve target of making India a $5 trillion GDP / 3rd largest economy. (भारत को 5 ट्रिलियन डॉलर जीडीपी / तीसरी सबसे बड़ी अर्थव्यवस्था बनाने के लक्ष्य को प्राप्त करने में काफी मदद)

22.18🏵️ VIMAL PE NEW TAXES EXCISE, HEALTH-SECURITY CESS FROM 1/FEB/2026

Note: I have used the word Vimal for easier visualisation.

- 2017: GST 1.0 max slab 28% + GST compensation cess (60% on Pan Masala)= 88% effective tax on Pan Masala.
- 2025-Sept: GST 2.0 max slab is 40%. BUT GST compensation cess ended in 2026 = Then Vimal will get cheaper, which is bad for public health.
- 2025-Dec: Govt passed 2 new laws to increase taxes from 1/Feb/2026

From 2026-Feb	Tobacco products	Non-tobacco Pan Masala

Example	Gutkha, Bidi, Cigar, Hookah, Zarda, etc.	Pan Masala
GST tax	40% (except Bidi pe 18%)	40%
GST compensation cess	Stopped from 2026-Feb	Stopped from 2026-Feb
Disaster management	NCCD duty	NCCD duty
Additional New tax	**Central Excise Duty via Central Excise (Amendment) Act, 2025-** with heavy rates e.g. 60–70% on tobacco, upto ₹11000 per 1000 cigarettes sticks etc.	**Health-Security Cess via Health Security & National Security Act, 2025.** Cess depends on machine-capacity e.g. ₹ 1.01 crore per month per machine if Machine speed is 500 pan-masala pouch per minute.
State's Share in new addl. taxes	Yes, as per Finance Commission formula (41%)	"Cess" are not divisible in FC formula. Finance Minister gave verbal reply to give some money to states for the Health schemes.

22.18.1 🏵️👎🏻 Vimal new taxes: Anti arguments

- Bidi: GST 1.0 = 28% but GST 2.0 = 18% slab.
- The total taxes on tobacco are still lower than prescribed by the world health organisation.
- Increase in taxes will increase smuggling.
- These new laws do not ban advertisement by film-stars and cricketers.
- Ideally, such tax/cess money should be used for cancer only. But no such clarity given in the law. Govt can use the Pan Masala cess for both will public health and national security.

22.19 🍋🛒⏰📅 GST Composition Scheme (जीएसटी संरचना योजना)

A relief given to small traders. Instead of depositing GST money to Govt on monthly basis, they may deposit it 3-3 months; they'll pay lower GST but won't get ITC. (It has more technical rules. But we'll NOT WASTE TIME in CA-giri).

22.19.1 🍋🛒: 💸🤜(✋😈) 1% GST deposit in cash for controlling fake ITC claims

Faded/outdated. Deleting this topic for Prelims-RAFTAAR

22.20 🍋🛒↩️ Reverse Charge Mechanism (विपरीत प्रभार की व्यवस्था)

कुछ ख़ास मामले जहाँ विक्रेता नहीं बल्कि ग्राहक ने खुद सरकार को GST जमा करना पड़ेगा

- Normally, a seller must collect the GST tax from buyer & deposit to the govt.
- However, in selected cases when seller is not registered with GST number, while buyer is registered with GST number, then buyer will have to deposit the tax to government.
- How / when / why = NOT IMP, EXCEPT the **MCQ word Association** that 'Reverse Charge Mechanism' is associated with GST, just like 'E-way bill' mechanism is associated with GST.

22.21 E-WAY BILL SYSTEM (ई-वे बिल प्रणाली) FROM 2018 ONWARDS

Figure 1: checkpost पे उत्पीड़न कम होगा. Img source: Gangaajal movie

- When goods worth ₹50,000/> are moved within a state (intrastate) or from one state to another (inter-state), then the truck/transport/cargo/shipping/aeroplane company must generate E-way Bill from GSTN Portal / App / SMS.
- E-way bill's self-declaration *(that our truck is carrying "x" type of goods worth "y" value)* reduces the scope of bribery, delay, red-tape, harassment at the check post, thereby ensuring a hassle-free rapid movement for transporters throughout the country.
- E-way bill system became effective from 2018.

22.21.1 E-Invoice from 2022 onwards

	E-Bill	E-Invoice
Who generates it?	Cargo/courier/transport company delivering goods	⇒ Businessman selling goods/services. It'll also contain info about E-bill (courier company)
😍**Objective?**	😍Ease of transporting goods	⇒ 😍Separate E-bill not required. Its info embedded inside E-Invoice itself! ⇒ 😍improve the tax-surveillance and fight against false ITC-credit claims through fake invoices.

GST council announced **E-invoice** (=bill generation through govt's online portal) from January-2020 but later postponed by Corona. **(स्थगित किया, बाद में लागू करेंगे)**

22.22👦 → 🤑(👩 👵♀) COMPENSATION TO STATES: WHY?

Recall Definition: GST is a destination based indirect tax on consumption of goods and services.
(जीएसटी वस्तुओं और सेवाओं के खपत-स्थान पर आधारित अप्रत्यक्ष कर है।)

- ✓ For the Union govt, largest source of tax collection were corporate tax and personal income tax. Both are direct taxes and therefore kept out of the GST regime.
- ✓ For the state governments, VAT was largest source of tax income, but it is to be subsumed under GST, along with other indirect taxes, cess and surcharges levied by the states. Therefore, states were afraid their revenue income will ⬇.[राज्यों की आमदनी का मुख्य साधन "वैट" हटा दिया इसलिए वे चिंतित थे]
- ✓ Secondly, GST is a destination-based tax, therefore industrialized states are not happy with it. Consider a Nano car manufactured in Tata's Plant in Gujarat and sold in Uttar Pradesh. (Destination) UP gets SGST, While (Source) Gujarat gets nothing. Although reverse is also true- UP's bicycle sold in Gujarat, then Gujarat will earn SGST and UP will get nothing.
- ✓ But the industrialized states such as Gujarat, Maharashtra, Tamil Nadu, Haryana feared they'd get less SGST revenue in absolute terms compared to erstwhile VAT regime.

22.22.1 👦 → 🤑(👩 👵♀) Compensation to States: HOW?

Parliament enacted GST Compensation to States Act 2017 (राज्यों को मुआवजा अधिनियम)

- ✓ Under its provisions, GST council recommended Union Govt to impose **"GST Compensation Cess"** (जीएसटी क्षतिपूर्ति उपकर) on specified luxury & demerit goods, like
  - pan masala (60%), tobacco products (cess varies as per product),
  - aerated water & Caffeinated Beverages (12%), coal / lignite (₹400 per tonne),
  - motor vehicles-aircraft-yacht (3-22% depending on type of vehicle).
- ✓ The cess thus collected is used for compensating States for their revenue losses during **the first five years since inception of GST.** i.e. **1st July 2017 to 30th June 2022**
- ✓ **GST 2.0 (2025)** Cess is removed from cars, vehicles, softdrinks and coal. Cess applicable now on tobbaco products only.

Table 3: GST Compensation to States Act 2017 (राज्यों को मुआवजा अधिनियम)

Section-7	⇒ It contains formula for compensation: State's Projected Revenue = 14% annual compound growth rate than its 2015's VAT collection (base year). If current year SGST collection is less than Projected Revenue → Union to pay compensation ⇒ (राज्य का " अनुमानित राजस्व" उसके 2015 के वेट अनुपात की 14% वार्षिक वृद्धि के साथ की गिना गया। यदि राज्य को एसजीएसटी मे उससे कम आमदनी हुई तो उस राज्य को, पहले 5 वर्षों के लिए, केंद्र मुआवजा देगा- जनता पर जीएसटी क्षतिपूर्ति उपकर लागू करके।)
Section-8	⇒ GST Council can recommend extending GST compensation cess beyond the period of five years. (5 साल से के पश्चात भी उपकर जारी रखने की सिफारिश कर सकता है.)

✓ Compensation available only for SGST. It is not given to The Union Territory Without Legislature (because they've UTGST e.g. Ladakh)

✓ **State Liquor Taxes** are outside GST, so Bihar / Gujarat / Nagaland / Lakshadweep / Parts of Manipur can't ask more ₹ for compensation from GST for having liquor prohibition (मद्य-निषेध).

Year →	*18-19*	*19-20*	*2020-21*	*2021-22*	*2022-23*	*2023-24*	*2024-25*
GST Compensat -ion Cess	95000 cr	98000 cr	1.10 Lakh Cr expected but in reality hardly 85,000cr earned	1.05 Lakh cr.	1.30 lakh cr	1.45 Lcr	1.51 Lcr

😰**Controversy?**

⇒ Before Corona: since 2019-August onwards payment pending. Also known as **"GST Arrears problems"** (मुआवजे की रकम बकाया है) . 2019-Dec: only partial compensation released.

22.23🤧😷:👨 → 🤑(👩‍🦰 👨‍🦳♀) GST Compensation & Back2Back Loans

⇒ 2020: Due to Corona lockdown, State government and very little amount in SGST.

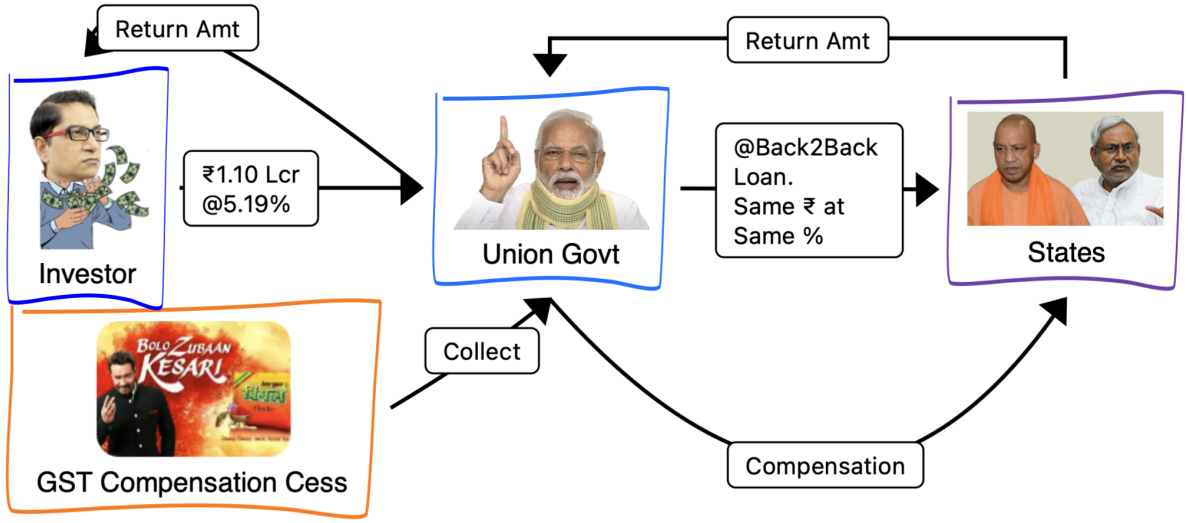
⇒ So, States started demanding ₹2.35 lakh crore in GST compensation from Union.

⇒ Union govt's initial reaction was, "Under the GST compensation Act, we are not legally obliged to pay this large amount (₹2.35lcr) because of unexpected circumstances / 'Act of God' / 'Force Majure' like Corona. We can only pay the originally estimated amount (₹97kcr)."

⇒ However the Attorney General opined that GST Compensation Act does not provide such exceptions; Union ought to pay the entire loss amount ₹2.35lcr. (अटॉर्नी-जनरल का मानना है कि केंद्र ने पूरी रकम देनी चाहिए क्योंकि जीएसटी मुआवजे के कानून में कोरोनावायरस जेसी आपातकालीन चीजों मे केंद्र कोई माफी /अपवाद नहीं)

⇒ But, corona → sales↓ → GST compensation cess collection ↓ . So, the union offered two options to borrow money for the compensation (क्योंकि जीएसटी में आमदनी वैसे भी कम है, इसलिए केंद्र ने राज्यों को पैसा उधार लेकर मुआवजा चुकाने के विकल्प दिए…..)

⇒ We will NOT study the difference between those TWO options because it is technical/outdated. Just memorize that States accepted 'modified' version of Option#1 and they got Rs.1.10 lakh crore. (उन दो विकल्पों मैं क्या मुद्दे/भिन्नताए थे वो हम पढ़ने नहीं बैठेंगे। बस रट्टा मार लो कि राज्यों ने मुआवज़े के लिए विकल्प#1 का एक संशोधित स्वरूप पसंद किया था।)



22.23.1 🤧😷🔪:⚖️👋🏻 GST compensation cess ended 2026-Feb

Timeline	Events
30/June/2022	This was the original expiry date of GST compensation cess. But govt extended it till 2026 to repay for Back to Back Loans.
2025-Sept	Govt removed GST-cess on most items except tobacco items. (Because back-to-back loans are mostly repaid.)
2026-Feb-1st	GST-cess removed from tobacco items also. Thus, GST-cess totally gone.

22.24🍋🛒👮‍♂️ GST Related Organizations (संस्थाए)

We already learnt about the GST council in the previous pages of handout. Apart from that…

22.24.1 👮‍♂️👩‍🦰👵‍♀️ Group of Ministers (GoM: मंत्रियों का समूह)

These committees are set up by GST Council to look into specific issues from time to time. Example

Some examples of GoM headed by _ _	Objective ⬇ (for example)
2021: Conrad Sangma, Meghalaya CM	Sangma to examine GST rates of Covid vaccine, drugs and related items.

22.24.2 ⚖️👮‍♂️🍕 National Anti-Profiteering Authority (NAA/NAPA)

राष्ट्रीय मुनाफाखोरी निरोधक प्राधिकरण

⇒ GST provides input credit for most of the indirect taxes of the Union and State Govt. So, entrepreneur's cost of production should ⬇, then he should also ⬇ prices for consumers, yet many companies had not reduced their prices e.g. Dominos Pizza, Nestle, Hindustan Unilever toothpaste & detergents etc. [टैक्स क्रेडिट मिलने पर उत्पादन की लागत कम होती है तो वस्तु सस्ती होनी चाहिए. हालाँकि कुछ मुनाफ़ाख़ोर कंपनियां चीज़ों के दाम सस्ते नहीं कर रही थी तो फिर उन्हें सबक़ सिखाने के लिए ये संस्था बनायी गई]

⇒ So, Union govt **set up NAA under Central Goods & Services Tax Act, 2017 to penalize them.**

⇒ This Authority shall cease to exist after 2 years from birth (2017+2= 2019), unless GST council renews it.(हालाँकि जन्म के दो साल में ही इस संस्था को अपने आप बंद हो जाना था, सिवाय कि GST परिषद आयु बढ़ा दें)

⇒ GST council extended it till 2022-Nov (कार्यकाल बढ़ाया)

⇒ **2022-Dec:** NAA stops working. Now matters related to GST anti-profiteering will be looked after by the **Competition Commission of India**. CCI is a statutory body under Ministry of corporate Affairs, setup under Competition Act, 2002 (Ref: Pillar#1C) (भारतीय प्रतिस्पर्धा आयोग)

⇒ GST 2.0 : concerns about companies not passing reduced tax rates to consumers. Given the CCI's understaffing, there's a case for reviving the Anti-Profiteering Authority. जीएसटी 2.0 में टैक्स कटौती के बावजूद ग्राहक को लाभ न मिलने की चिंता; एनएपीए को पुनर्जीवित करने की जरूरत।)

22.24.3 👮‍♂️💉 Authority for Advance Ruling (AAR-अग्रिम फैसलों के लिए प्राधिकरण)

⇒ Suppose, Diabetic foods supplements are subjected to 5% GST whereas pasteurized milk is subject to 0% GST. If Amul plans to launch 'Amul Camel Milk' with bottle label: "*Camel milk is easy to digest, high in an insulin-like protein, hence beneficial for diabetic person*."

⇒ Then, whether Amul's product be subjected to 0% GST or 5% GST? An entrepreneur would like to such have **clarification** from Tax authorities before starting the production, lest he gets tangled in **raids and litigations** afterwards. (छापेमारी और मुकदमेबाजी द्वारा उत्पीड़न किया जाना)

⇒ So, CGST Act, 2017 provides for a **statutory body** called Authority for Advance Ruling (AAR), where entrepreneur can seek such advance clarification.

⇒ **Higher appeal?** Appellate Authority for Advance Ruling (AAAR: अग्रिम फैसलों के लिए अपील प्राधिकरण).

🤩**Benefit?** Reduces scope/opportunity for litigation/harassment/bribe demand → Ease of doing business (व्यापार करने में आसानी) → helps attract Foreign Direct Investment (FDI: प्रत्यक्ष विदेशी निवेश).

22.24.4 🕵️‍♂️🕵️‍♂️🕵️‍♂️ GST tribunal (GSTAT) (2023)

GST related cases are heard in the following sequence:

LEVEL	DESCRIPTION
1. Adjudicating Authority	Additional/Joint/Deputy/Assistant Commissioner/ Superintendent- (Depending on the case/amount)
2. First Appellate Authority	Joint Commissioner/ Additional Commissioner / Commission - (Depending on the case/amount)
3. Goods and Services Tax Appellate Tribunals (GSTATs) **<u>Composition</u>** 1) 👨‍⚖️President of GSTAT** (Judge of SC/HC) 2) 1 Judicial member 3) 1 Technical member (from Union side) 4) 1 Technical member (from States' side)	⇒ To be Setup based on report of Dushyant Chautala committee. By amending the CGST Act. So, it's a statutory/Quasi-Judicial body. (वैधानिक/अर्द्ध-न्यायिक संस्था है) ⇒ GSTAT- HQ @Delhi & benches in different States/cities. ⇒ Will hear cases related to CGST Act, UTGST Act, SGST Act, iGST Act. Thus, it is the common forum of dispute resolution dealing with Centre and States' GST laws. ⇒ This will help reducing the case pendency at HC/SC. ⇒ GST 2.0 (2025) = we'll set this up by 2025-end.
4) HC and 5) SC	Self-explanatory. (स्वयं स्पष्ट है)

**Note: Don't confuse this post "👨‍⚖️President of GSTAT" with "President of India" (Droupadi Murmu). They are separate posts/people. (इधर हमारे देश के राष्ट्रपति की बात नहीं हो रही है. यह अलग नौकरी/व्यक्ति है)

22.24.5 🕵️‍♂️🕵️‍♂️🕵️‍♂️ Customs, Excise and Service Tax Appellate Tribunal (CESTAT)

Deals with appeals in Union's indirect taxes other than GST. (For GST, there is separate tribunal, refer to previous section.)

- CESTAT: Stage1: Junior Officers | Stage2: Commissioner
- CSETAT: Stage3: Customs, Excise & Service Tax Appellate Tribunal (CESTAT)
- Stage4: HC → SC.

22.24.6 👨‍⚖️ GST Fitment Committee (जीएसटी फिटमेंट समिति)

⇒ Fitment committee contains tax officials from both Union and states.

⇒ They examine the demands / proposals related to changing GST on particular item. (किसी वस्तु या सेवा पर जीएसटी दरों में बदलाव के प्रस्ताव पर समीक्षा करते हैं)

⇒ They submit the report to GST Council and then GST Council will take final decision. (फिर ये अपनी राय जीएसटी परिषद को देते हैं। और जीएसटी परिषद अंतिम निर्णय लेगी)

⇒ e.g. (2023) Tobacco industry demand reduction in GST. → fitment committee suggested "don't reduce." → GST council didn't reduce.

⇒ However, the recommendations of this committee are not always on the GST Council. (इनकी सिफारिशें जीएसटी परिषद पर बाध्य नहीं है. वह तो जीएसटी परिषद खुद के विवेक/मर्ज़ी से तय करेगा.)

22.24.7 👨‍⚖️💻 GSTN Network (Not for Profit Company- मुनाफ़ा रहित कंपनी)

2013: Goods and Services Tax Network (GSTN) "Not for Profit" Private ltd. company set up under the Companies Act.

Ownership→	2013-18	Ownership from 2018
Union govt	24.5%	50%
All states of India (incl. Delhi & Puducherry)	24.5%	50%
Non-Government Financial Institutions such as HDFC Bank (20%), ICICI Bank (10%), NSE (10%), LIC Housing Finance (10%)	51%	0%

⇒ This company runs the GSTN online portal, where the suppliers register themselves, pay their GST, claim input tax credits, generate e-way bills etc. [**Infosys** ltd. helped develop this webportal.]

⇒ GSTN Network ltd. also provides the IT infrastructure and software services to GST officials for monitoring the tax compliance, issuing notices, data mining etc.

⇒ In future, such data could also be shared with the RBI's Public Credit Registry (PCR: ऋण की सार्वजनिक रजिस्ट्री) so the lenders can have a complete picture of the borrower's business.

⇒ **GST Suvidha Providers (GSPs):** These are selected private IT/Fintech companies that develop apps / software to help the taxpayers interact with GSTN portal. E.g. Zoho Accounting Software.

22.24.8 📲💻 Project Saksham: Digital integration (2016)

CBEC/CBIC launched, **"Project Saksham"** for data-coordination among following 3 portals

Name of Tax	Excise Duty	Customs duty	GST
Associated Web portal	ACES	SWIFT	GSTN

- **Separately, 2018: Indian Railways** also launched Project **Saksham** but with different objective of employees' training and skill-upgradation for doing railway related work.
- CBIC has **Antarang portal** for internal communication among CBIC officers.
- CBIC also launched portals such as i) ECTS (Electronic Cargo Tracking System), ii) Risk Management System (RMS), iii) Indian Customs Compliance Information Portal (CIP) etc. What is their objective? how do they work? Ans. not important.

22.24.9 HSN and SAC Codes

- **Service Accounting Code (SAC)** are used for classifying services for GST rates. e.g. coaching services = SAC Code 999293 = 18% GST.
- **Harmonized System of Nomenclature (HSN)** developed by the World Customs Organization (WCO) is used for classifying goods for GST rates. e.g. Jarda scented tobacco = HAC code 24039930 = 28% GST.
- **Benefit?** HSN-SAC coding helps in computerised accounting, billing, digitization, surveillance & big data analytics by Tax authorities.

22.25 PAN vs GSTIN vs Aadhar

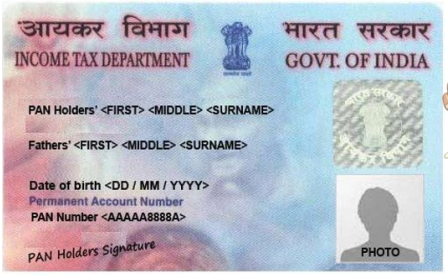


Table 4: don't lose too much sleep over it unless preparing for State Tax Dept Exams

Difference	PAN: स्थायी लेखा संख्याक	GSTIN: वस्तु एवं सेवा कर पहचान संख्याक
Full form	Permanent Account Number issued by the Income Tax Department	Goods and Services Tax Identification Number issued by the Central Board of Indirect Taxes & Customs (CBIC)
example	Suzlon Energy ltd: AADCS0472N	Suzlon Energy ltd: 24AADCS0472N1Z8
Format	10 digit alphanumeric number (=containing both alphabets and numbers)	2 digit state code+ 10 digits PAN number + 3 characters = total 15 characters (=containing both alphabets and numbers)
Who has to get it?	Every income tax assessee- individual, HUF, firm, company, trust (internal different not imp.)	- IF Individuals / firms registered under the Pre-GST law (i.e., Excise, VAT, Service Tax etc.) OR - IF your biz. turnover is above a threshold limit of "x" lakhs for ordinary states or "y" lakhs in Sp.cat. States. OR - Merchants who sell through e-commerce aggregators like Amazon.
Do all taxpayers have it?	Every PAN card holder is not REQUIRED to have GSTIN. (e.g. a salaried employee)	Every GSTIN holder is required to have PAN card number. (Because its format is like that, observe "format" row above).
How many	- Only 1 PAN number allowed	- If firm operates from more than one state,

Difference	PAN: स्थायी लेखा संख्याक	GSTIN: वस्तु एवं सेवा कर पहचान संख्याक
numbers / cards can one have?	per individual. - Only 1 PAN number allowed per company. - Subsidiary firms will have to get separate PAN numbers.	then a separate GST registration is required for each state. - If a firm has multiple subsidiaries, they have to get GST number for each e.g. "Faith Hospitality Chain ltd⟶ Sam's Pizza restaurant, Sankalp Dosa restaurant, Saffron Punjabi restaurant"
Objective	Prevent evasion of direct taxes.	Prevent evasion of GST, and help the entrepreneurs claim their input credits.

- PAN number is required for various activities like opening of bank account, opening of demat accounts (for trading in securities), obtaining registration for GST, VAT-Excise registration (for Petrol-Liquor dealers) etc.
- So, PAN is slowly becoming a Common Business Identification Number (CBIN) or simply **Business Identification Number** (BIN: सामान्य व्यवसाय पहचान संख्याक)- because if a Department knows your PAN number they can dig all information about you, know whether you're eligible to fill up a particular tender or contract or a scheme application form or not?

22.25.1 PAN/GSTIN vs UID (=Aadhar Card)

Table 5: don't lose too much sleep over it unless preparing for State Tax Dept Exams

PAN and GSTIN	UID (=Aadhar Card)
Issued by the direct and indirect tax authorities that function under Ministry of Finance.	Issued by a Statutory body- Unique Identification Authority of India (UIDAI:भारतीय विशिष्ट पहचान प्राधिकरण) under Ministry of Electronics and Information Technology (MeitY).
These Tax authorities derive powers from: - Income Tax Act 1961 - Goods & Service Tax Acts in 2017.	Aadhaar Targeted Delivery of Financial and Other Subsidies, Benefits and Services) Act, 2016 ("आधार एक्ट 2016")
Primary objective of these id-numbers is to reduce tax evasion by tracking the transactions.	Primary objective is to eliminate bogus beneficiaries in government schemes & reduce subsidy leakage. Auxiliary benefits: Identifying dead bodies, tracking criminals, mobile number ownership, tax evasion etc.
format contains both numbers + alphabets.	Unique Identification number (UID) or Aadhaar is a 12 digit number. No alphabets.
Issued for individual humans, HUF/firms/companies/trusts**.	Only for living resident HUMANS of India. Not given for companies. Resident is defined as person who lived in India for 182 days/> in last 12 months. Full-Budget-2019: we'll consider giving

🔢🔠 PAN and GSTIN	🔢 UID (=Aadhar Card)
	immediate Aadhar card to NRIs with Indian Passport so they don't have to wait till ~180 days. It'll help them get through KYC bank/share market transaction.
One HUMAN ⟶ one PAN number only. No age limit. Minors can also join.	same (एक इंसान का सिर्फ़ एक आधार कार्ड निकल सकता है)
- Registration for PAN card/ GSTIN is free.	Same as left cell. मुफ्त में मिलता है.
Compulsory to enroll (अनिवार्य है), if your income or turnover is beyond "x" rupees**.	Voluntary to enroll. आधार कार्ड बनवाना स्वैच्छिक है. अनिवार्य / बाध्यकर नहीं है.**
They contain - Name - Photograph & Date of Birth (in case of "Human") - Address.	**Demographic info:** - Name, Date of Birth, Gender, Address. - Mobile & Email (optional) **Biometric info:** ⇒ Ten Fingerprints, Two Iris Scans, and Facial Photograph.

⇒ Compulsory to link Aadhar card with PAN by 31/3/2023. (later deadline shifted to 30/Jun/2023)
**there are more terms-conditions to it but we'll not do PhD.

22.25.2 🍋🪪 PAN 2.0 & TAN 2.0 (2024)

- 1972: PAN system introduced.
- TAN (Tax Deduction and Collection Account Number) required for TDS/TCS collection.
- Old PAN/TAN cardholders needn't apply for PAN 2.0.
- Income-tax Act imposes Rs. 10,000 penalty for non-obtaining PAN, quoting incorrect PAN, or keeping multiple PAN numbers for same person.

😭 Before	😍 After 2024 Reform
PAN-related services are currently hosted on three different portals (e-Filing Portal, UTIITSL Portal and Protean e-Gov Portal).	A single portal for all PAN/TAN-related services
Paper-application form	digital / paperless application form
person had to pay registration fee for PAN	Free registration. Govt will email Digital PAN (e-PAN) to you for free. But if you want to printed card delivered ⟶ have to ₹50/more depending on location
not present	A dedicated call centre and helpdesk
not present	PAN 2.0 cards will have QR code. When QR scanned, it will display the holder's photo, signature, name, parents' names, and date of birth in the mobile app.

22.26🍋🛒🥰 GST: BENEFITS (लाभ)

- ✓ GST covers both goods and services, with standard rates, minimal number of cess/surcharges. (सामान्य दर, बहुत कम चीजों पर उपकर/अधिभार लगता है।)
- ✓ GST online portal and e-way bill system reduces the interface between tax-officials and the assesses, thereby reducing the scope of harassment, bribery and Inspector Raj. **(=Ease of doing business)** (उत्पीड़न, रिश्वतखोरी में कमी → व्यापार में सुगमता बढ़ी**).**
- ✓ GST provides input credits to suppliers thereby incentivize them to sell with invoice at every stage. Thus, GST will expand our tax collection, and deter tax evasion. (इनपुट क्रेडिट के लिए बिल बनाना जरूरी, इसलिए करचोरी मुश्किल)
- ✓ GST Input credit system ⬇ the cascading effect of taxes, ↓ cost of manufacturing & selling, while its **anti profiteering** authority ensures that such benefits are passed on to the customers in the form of reduced MRP. (मुनाफाखोरी पर लगाम)
- ✓ Federal nations such as Canada and Australia shifted from VAT to GST regime. It helped **boosting their revenue, GDP and exports**. (कर राजस्व, जीडीपी, निर्यात में बढ़ोतरी)
- ✓ GST rates are uniform across the States so it reduces the scope for **'rate arbitrage'** (दर अपवंचन) i.e. buying from another state for profiteering, even if same item available in home state. (HOW? Watch Video)
- ✓ GST's ITC helps **Ancillarisation**, Subcontracting and Outsourcing. This helps in more job creation (How? Watch Video) (अनुषंगीकरण, उपठेका और आउटसोर्सिंग)
- ✓ Both CGST and SGST are **computed on the same base** (₹10,000), therefore tax burden on final consumer is less in GST regime, than in Excise-VAT regime. (How? Watch Video) (एक आधार पर केंद्र और राज्य के जीएसटी की गिनती से उपभोक्ता पर बोज कम होता है)
- ✓ Thus, GST will help to create a unified **common national market** for India, & catalyse **"Make in India", and Assemble in India(More in** 📄Pillar#4B)

22.26.1 🍋 Revenue Neutral Rate of GST (राजस्व तटस्थ दर)

- Suppose a biscuit subjected to 18% Excise & VAT.
- when we shifted to GST, what should be the ideal rate of GST on biscuit, that does not cause hardship to the customer and does not cause loss of revenue for the government.
- Such % of GST, is called revenue neutral rate.
- According to Arvind Subramanian Committee (2015)RNR of GST should be 15.3%
- so has GST 2.0 achieved this status? Wait for the economic survey to make any comments. (GST की ऐसी दरे, जो न तो ग्राहक पर ज़्यादा बोझ डाले और न तो सरकार का की राजस्व आदमनी को कम करे।)

22.26.2 🍋🛒🥰: ⚓ GST Benefit: Zero Rated Exports (शून्य रेटेड निर्यात)

- When company buys raw material or intermediate goods it will have to pay GST but if final product is exported outside India, it'll be subjected to 0% IGST.

- So, whatever GST the company had paid on the inputs, all of that will become its "Input Tax Credit" (and company can use this ITC to pay for the taxes on the purchase of raw material and intermediate goods in the next time), thus reducing its cost of production. (उत्पाद खर्च में कमी)
- This will improve price competitiveness of Indian products in foreign markets. (विदेशी बाजार में भारत का सामान किफायती बनता है)
- Australia and other GST countries also follow similar "zero rated export" regime.

🔠❓ **MCQ. Most likely advantages of implementing GST?** ***(Asked in UPSC-Pre-2017)***

1. It will replace multiple taxes collected by multiple authorities thus create a single market in India.
2. It will drastically reduce 'Current Account Deficit' of India and will enable it to increase its foreign exchange reserves.
3. It will enormously increase the growth and size of Indian economy of India & will enable it to overtake China in the near future.

Codes: (a) 1 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

22.27🍋🛒😢 GST: CHALLENGES AND NEED FOR MORE REFORMS FOR MAINS (चुनौतियां)

shifted to Mains handout.

Handout: [2A)✅Direct & Indirect Taxes [2B) Black Money, 15th Finance Commission
[2C) Subsidies to Disinvestment [2D) Fiscal Deficit, FRBM, Budgeting & scheme types